

CROATIA 2015

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

The national currency is the Croatian kuna (HRK).

In period January to December 2015 in Croatia average monthly gross earnings for activities B-N (by NACE Rev. 2) amounted to 7 910 kuna (annual value 94 923 kuna).

In period January to December 2015 in Croatia average monthly gross earnings for all activities amounted to 8 055 kuna (annual value 96 655 kuna).

2. Unemployment insurance

Unemployment insurance is regulated, primarily, by the Act on Employment Mediation and Unemployment Rights (Official Gazette, Nos. 80/08, 94/09, 121/10, 25/12, 118/12, 12/13 and 153/13).

1. Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment.

With the Act on Amendments of the Act on Employment Mediation and Unemployment Rights (Official Gazette, No 153/13), the right to unemployment benefit in extended duration ceased to exist, as the social care for long-term unemployed has been allocated into social welfare system (guaranteed minimum benefit, explained in the Chapter 4 of this Questionnaire).

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

Program name in local language		Novčana naknada za vrijeme nezaposlenosti (Unemployment cash benefit)
Insurance is voluntary(V) or compulsory(C) for employees		Compulsory, employers pay compulsory contributions for their employees. Self employed persons pay contributions for themselves.
Employment record (E) and contribution (C) conditions		E + C: 9 months in last 2 years
Waiting period (days)		Conditions when person, for temporary period of time, can't acquire the benefit are described under „2.1 conditions for receipt“ in the last paragraph.
Maximum duration (months)		450 days
Uprating mechanism of the benefit		Basis for calculating the benefit is beneficiary's own salary deduced for pension contributions (20% of the gross), but maximum amount of benefit is set according to Average net salary in Croatia for previous year.
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	70%
	benefit at the end of legal entitlement period in % of calculation base	35% from day 91 on
	Calculation base	Gross – SSC. Gross salary deduced for pension contributions of 20%.
	Permitted employment and disregards when receiving unemployment insurance benefit	No

Benefit provision (eligibility (E), generosity (G)) varies with	age	No
	family situation	No
	contract type	No
	other	G - Previous period of unemployment

2.1 *Conditions for receipt*

1. Unemployment cash benefit

The most important conditions for unemployed person to obtain unemployment benefit are following:

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfilment of a minimum period of insurance (at least 9 months on insurance period in 24 months),
- registration at the Croatian Employment Service
- application for benefit within 30 days of the termination of employment,
- capable of work,
- actively seeking employment.

Act on Employment Mediation and Unemployment Rights treats person as unemployed if he/she is capable or partially capable for work, years of age 15-65, with no work relations, actively seeking employment (in cooperation with Croatian Institute for Employment), disposable for work (follows instructions of the Institute in order to conceive employment) and:

- doesn't acquire a monthly income from performing services according to special regulations or other income according to regulations on Income Act, in an amount higher than average unemployment benefit paid in previous year,
- hasn't got a registered company or other legal entity or doesn't own more than 25% of shares in a company or other legal entity,
- is not a member of co-operative
- is not a president, member of the board of director or executive director in a company, or manager in a co-operative
- hasn't got a registered trade, freelance, farming or forestry activity,
- doesn't perform handicraft business, or secondary profession according to special regulations
- is not insured as a farmer according to pension regulations,
- is not employed under special regulations,
- is not a pension beneficiary, except pension beneficiary of disability pension due to occupational disability to work, disability pension for partial inability to work and beneficiary of survivors pension who doesn't receive this pension at the moment,
- doesn't fulfill conditions for old age pension,
- is not insured in extended pension insurance on the grounds of job contract for limited time for steady seasonal jobs,
- temporary unemployability is not determined for him from the professional rehabilitation center,
- is not a regular pupil or student.

Croatian Institute for Employment registers unemployed person after application to the Institute.

Unemployed person has no right to unemployment benefit if his/her employment was terminated:

- by that person, except in case of emergency termination of employment caused by the conduct of the employer,
- due to a written agreement on termination of employment, except if this agreement was closed on employer's proposal in a case of surplus labour support according to special regulations
- because the person did not meet expectations during probation work or has failed to meet during training or internship, or did not pass the exam within the prescribed deadline which is set by special provisions as a condition for continuance of employment,
- ordinary dismissal caused by employee's misconduct, or extraordinary dismissal for severe misconduct of work obligations or official duty
- due to pronounced prison sentence longer than 3 months.

Unemployed person that had no justified reason to stop performing self-employment activity has no right to unemployment benefit. Justified reasons could be insolvency or illiquidity according to regulations on financial operations and pre-bankruptcy settlement, closing of bankruptcy proceedings, profit loss, loss of business premises, loss of privilege or permission to perform activity prescribed by special regulation, illness of insured person, end of business partnership, grave damage of insured person's property, natural disaster or disaster caused by force majeure, other justified reasons proved by insured person.

Unemployed person loses the right to unemployed benefit if:

- person establishes working relations,
- the time period set for payment of unemployed benefit elapses,
- person is performing work without certificate, contract, or obligatory decision,
- person registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity,
- Person becomes a member of co-operative
- person becomes a president, member of the board of director or executive director in a company, or manager in a co-operative
- person registers a trade, freelance, farming or forestry activity,
- persons starts performing handicraft business, or secondary profession according to special regulations
- person becomes insured as a farmer according to pension regulations,
- person becomes employed under special regulations,
- person fulfils the requirements for an old-age pension, exercises a right on anticipated old age pension, starts receiving survivors pension, exercises a right on disability pension due to general inability to work, disability pension for complete loss of capability to work, disability pension due to occupational disability for work or disability pension for partial inability to work in the amount higher than the amount of unemployment benefit,
- general inability to work or complete loss of capability to work has been established,
- person acquires a cash assistance under special regulations in an amount higher than the one determined for unemployment benefit,
- person start serving prison sentence which is longer than three months,
- person reaches 65 years of age,
- person refuses participation in education program or terminates it without a valid reason, or does not complete an education which was, after the assessment of psychophysical capabilities of person, organised and financed by the Croatian Employment Service, in order to increase its employability,
- person does not meet conditions relating to active job search and availability for work, and also doesn't perform activities from her professional plan in determined dynamics

- person unregisters itself from the records of Croatian Employment Service.

Unemployed person temporary can't acquire the right to unemployed benefit:

- if he acquires a monthly income from performing services according to special regulations or other income according to regulations on Income Act, in an amount higher than average unemployment benefit paid in previous year. In that case, person can acquire unemployment benefit again after certain period of time that is calculated in months by division of earned other income or income from services and average unemployment benefit paid in previous year.
- during voluntary military service
- during prison sentence up to 3 months
- during custody
- during professional development without conceiving employment
- during maternity, parental, adoptive or custodial exclusion from work or care for new-born child
- during temporary unemployability determined by professional rehabilitation center

Person can acquire the right for this benefit again when this circumstances cease to exist.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

According to Pension Insurance Act, in a period when person is not insured in compulsory pension insurance, he/she has a possibility to be insured in extended pension insurance. One of the conditions for which this is possible, is during temporary or seasonal hold of performing jobs and also after termination of job contract for limited period for steady seasonal jobs.

Beneficiary loses a right for benefit:

- if he acquires a monthly income from performing services according to special regulations or other income according to regulations on Income Act, in an amount higher than average unemployment benefit paid in previous year.
- during voluntary military service
- during prison sentence
- during custody
- during maternity, parental, adoptive or custodial exclusion from work or care for a new-born child
- if he gets employed
- if he is performing work without certificate, contract, or decision
- if he registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity
- if he becomes a member of co-operative
- if he becomes a president, member of the board of director or executive director in a company, or manager in a co-operative
- if he registers a trade, freelance, farming or forestry activity
- if he starts performing handicraft business, or secondary profession according to special regulations

- if he becomes insured as a farmer according to pension regulations
- if he becomes employed under special regulations
- if he fulfils the requirements for an old-age pension, exercises a right on anticipated old age pension, starts receiving survivors pension, exercises a right on disability pension due to general inability to work, disability pension for complete loss of capability to work, disability pension due to occupational disability for work or disability pension for partial inability to work in the amount higher than the amount of unemployment benefit
- if general inability to work or complete loss of capability to work has been established
- if he acquires a cash assistance under special regulations in an amount higher than the one determined for cash assistance
- if he reaches 65 years of age

2.1.1 *Employment conditions*

1. Unemployment cash benefit

The right to unemployment benefit is acquired by unemployed person who at the time of termination of employment has at least 9 months of work in the last 24 months.

As the time spent at work is also considered a time of compulsory pension insurance acquired on the basis of employment or self-employment in the Republic of Croatia as well as the time spent by a worker on sick leave or maternity, parental, adoptive or custodial leave after the termination of employment or service, if during this time worker received a salary compensation in accordance to health insurance regulations.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

Person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs is, in a sense of becoming a beneficiary of this assistance, a person who has performed seasonal jobs for at least 6 months for the same employer, and will work for him for at least 3 seasons or has been working for him at least 3 seasons.

This benefit is granted to a person, for whom Croatian Institute for Employment approves and co-finances costs of extended pension insurance.

2.1.2 *Contribution conditions*

1. Unemployment cash benefit

According to the Contributions Act (Official Gazette, Nos. 84/08, 152/08, 94/09, 18/11, 23/12, 144/12, 148/13, 41/14 and 143/14), employment contributions are paid for the following categories of persons:

- persons employed by the employer
 - payer of contributions is employer
- persons elected or appointed to representative or executive bodies
 - payer of contributions is representative or executive body of state or unit of regional or local self-government
- assigned employee

- payer of contributions is employer or another person that pays salary to the insured person instead of employer
- caretaker of Croatian Homeland war invalid
 - payer of contribution is a ministry authorised for the rights of the Croatian Homeland war defenders
- parent-caretaker and caretaker
 - payer of contribution is the ministry responsible for social welfare issues.
- self-employed persons
 - payer of contribution is a self-employed person
- farmer registered as head or member of family run farm, forest owner and members of his household
 - these categories pay contributions for themselves
- members of board of directors, executive director and manager of co-operatives
 - these categories pay contributions for themselves

It should also be mentioned that from the year of 2015, according to Act on amendments of Contributions Act (Official Gazette, Nos. 143/14), employers are relieved from paying employment contributions in case of employment of younger person up to 30 years of age, if a job contract was closed for continuous period and for the first time with that person.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

As said before, this benefit is granted to a person, for whom Croatian Institute for Employment approves and co-finances costs of extended pension insurance. Institute pays full amount of compulsory pension contributions for first 3 months of extended pension insurance and 50% of pension contributions for next three months (employer pays another half). Contributions of 20% are paid on the prescribed basis (2779.35 kuna).

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

1. Unemployment cash benefit

The basis for determination of the unemployment benefit amount is the average salary, decreased by contributions for obligatory pension insurance, acquired in the three-month period preceding the termination of employment or service. The basis for benefit in a case of persons who were self-employed is average basis for calculation of compulsory contributions in a period of three months before termination of self-employment activity. Remuneration earned under special regulations do not form a part of the basis.

If the basis cannot be determined as described above, the basis for an unemployed person is determined in the amount of the minimum salary, decreased by contributions for obligatory pension insurance determined, all depending on the percentage of time spent at work.

Unemployed person, during the period in which he/she receives the benefit, under some conditions can file a claim for remaining amount of benefit he/she is entitled to be paid to him/her as a lump sum. This right is acknowledged for the purposes of opening a craft (trade) or independent profession (free lance), for employment in the trade company in which beneficiary does not have more than 25% share and for establishment of the trade company and employing therein.

The unemployment benefit for the first 90 days amounts to 70% of prescribed basis while for the remaining time it decreases to 35% of the basis.

Unemployed person who, while receiving unemployment benefit, acquired right for a disability pension due to occupational incapacity to work, as well as the person who acquired a compensation under special provisions in the amount below the amount of unemployment benefit, is entitled to the difference between disability pension/compensation and the unemployment benefit initially determined for him/her.

The maximum amount of unemployment benefit for the first 90 days cannot be higher than 70%, and for the remaining time cannot be higher than 35% of the average net salary paid in the Croatian economy in the previous year, according to the latest officially published data. The average monthly net salary paid in the Croatian economy in 2014 was 5 533 kuna.

The minimum amount of the benefit cannot be lower than 50% of the minimum salary, decreased by contributions for obligatory pension insurance, except in the case where the amount of benefit is determined according to the percentage of time spent at work.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

Cash assistance for a period of first 3 months is equal to 60% of gross salary for period achieved in 3 months before termination of seasonal employment, and it cannot be lower than unemployment benefit that person would achieve if he/she had a status of unemployed person.

Cash assistance for remaining period is equal to 50% of the assistance paid for first 3 months.

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

2.3 ***Tax treatment of benefit and interaction with other benefits***

All benefits described in this chapter are not subjected to income tax.

Person cannot simultaneously receive unemployment cash benefit and: cash allowance paid during vocational training; cash assistance for persons who closed contract on professional development without conceiving employment; benefits paid during maternity, parental or adoptive leave, exclusion from work and care for a new born child; up to employment benefit; salary compensation during professional rehabilitation; sick leave benefit; parent caregiver benefit, benefits acquired according to specific regulations in an amount higher than unemployment benefit (if an amount of other benefit is lower than unemployment benefit, then person receives the difference in the amounts of benefits).

When deciding on a right for child allowance and guaranteed minimum benefit, unemployment benefit is regarded as income that influences acquiring these benefits or amounts of these benefits.

Interactions with other benefits depends on conditions for acquiring those benefits in a sense of eventual income regards.

2.4 *Benefit duration and waiting periods*

1. Unemployment cash benefit

Unemployment cash benefit is granted to the unemployed person for a period that depends on the previous period of employment, namely:

- 90 days if the person has spent 9 months to 2 years at work,
- 120 days if the person has spent more than 2 years at work,
- 150 days if the person has spent more than 3 years at work,
- 180 days if the person has spent more than 4 years at work,
- 210 days if the person has spent more than 5 years at work,
- 240 days if the person has spent more than 6 years at work,
- 270 days if the person has spent more than 7 years at work,
- 300 days if the person has spent more than 8 years at work,
- 330 days if the person has spent more than 9 years at work,
- 360 days if the person has spent more than 10 years at work,
- 390 days if the person has spent more than 15 years at work,
- 420 days if the person has spent more than 20 years at work,
- 450 days if the person has spent more than 25 years at work.

The right to cash benefit can be re-applied in case of obtaining new insurance period of at least 9 months in last 24 months.

In case of repeated acquirement of the right to cash benefit, the insurance period taken into account for the previous cash benefit shall not be included in the insurance period for the acquisition and the calculation of the new cash benefit.

An unemployed person who, due to re-employment, lost the right to unemployment benefit before the expiry of the time for which it was granted, who again became unemployed by no fault of his/her own has a right to continued payment of benefit for the remaining part of the initially established duration, and in the initially established amount.

2. Cash assistance to a person insured in extended pension insurance on the grounds of a job contract for limited period for steady seasonal jobs

Beneficiary can receive this benefit for 6 months of extended pension insurance period at the most.

Generally, period of extended pension insurance is finished when person starts performing seasonal job (again) or if compulsory contributions haven't been paid in a period of 3 months after maturity.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

2.5.2 *Older workers*

An unemployed person who spent more than 32 years working and needs maximum of 5 years to fulfil the age limit for old-age pension shall be entitled to unemployment benefit until reemployment or until the occurrence of other circumstances which cause the termination of the right to this benefit. So, older workers are treated more favourably in regard that the period in which they receive the unemployment benefit is not limited as for other unemployed persons (explained in 2.4).

2.5.3 *Others if applicable, including disabled*

3. Unemployment assistance

a) The right to the cash allowance is provided to the unemployed person assigned to the vocational training by the Croatian Employment Service (right to reimbursement of travel expenses is also acquired). During the training, if the person is entitled to the unemployment benefit described in chapter 2, he/she holds that right. Unemployed person whose right to unemployment benefit expires during the training, has the right to the cash allowance until the end of training.

b) A measure of professional development without conceiving employment is intended for unemployed persons with below one year of pension insurance time in his/her vocation who are registered at Croatian Institute for Employment at least 30 days. Namely, private and public entities, if they satisfy certain conditions, can admit above mentioned category of people, who can then work for a period of one year. They do not sign a working contract but a contract on professional development without conceiving employment (they have a mentor who is responsible for their professional development). During this one year person does not receive a salary, but a financial assistance. This assistance is paid by the Croatian Employment Service, in addition to reimbursement of travel expenses.

c) The unemployed person to whom the Croatian Employment Service is not capable to provide a job in the place of residence, and who, either on his/her own or by the mediation of the Service, finds a job in another place, is entitled to the cash lump-sum allowance. Also, he/she is entitled to the reimbursement of travel and resettlement expenses for himself/herself, his/her spouse/partner and children, from the place of residence to the place of employment.

3.1 Conditions for receipt

a) vocational training – There are no employment conditions in order to acquire cash allowance for unemployed person during the vocational training. Act on Employment Mediation and Unemployment Rights treats person as unemployed if he/she is capable or partially capable for work, years of age 15-65, with no work relations, actively seeking employment (in cooperation with Croatian Institute for Employment), disposable for work (person follows instructions of the Institute in order to conceive employment) and fulfils other conditions to be treated as unemployed, already described in chapter 2.

b) professional development without conceiving employment – unemployed person, in order to apply for this measure, must have below one year of pension insurance time in his/her vocation and to be registered at Croatian Institute for Employment at least 30 days.

c) lump-sum allowance for employment in place other than place of residence and reimbursement of travel and resettlement expenses - there are no employment conditions to acquire this benefit.

Conditions that have to be met in order to receive this benefit are:

- place of employment is at least 80 km from the place of residence, unemployed person closes a job contract for at least 6 months and changes his/her place of residence for that reason.

Unemployed person loses the right to cash allowance during vocational training and professional development in this chapter if he/she:

- establishes working relations for a period longer than vocational training or professional development without conceiving employment,
- cancels vocational training or professional development without conceiving employment,
- is performing work without certificate, contract, or obligatory decision,
- registers a company or other legal entity or acquires more than 25% of shares in a company or other legal entity,
- becomes a member of co-operative
- becomes a president, member of the board of director or executive director in a company, or manager in a co-operative
- registers a trade, freelance, farming or forestry activity,
- starts performing handicraft business, or secondary profession according to special regulations
- becomes insured as a farmer according to pension regulations,
- becomes employed under special regulations,
- fulfils the requirements for an old-age pension, exercises a right on anticipated old age pension, starts receiving survivors pension, exercises a right on disability pension due to general inability to work, disability pension for complete loss of capability to work, disability pension due to occupational disability for work or disability pension for partial inability to work in the amount higher than the amount of unemployment benefit,
- has been determined with general inability to work or complete loss of capability to work,
- acquires a right to maternity, parental, adoptive or custodial exclusion from work or care for a new-born child
- starts serving prison sentence which is longer than three months,
- reaches 65 years of age,
- unregisters itself from the records of Croatian Employment Service.

Unemployed person temporary can't acquire the right to all benefits mentioned in this chapter:

- if he/she establishes working relations for a period not longer than vocational training or professional development without conceiving employment,
- if he/she acquires a monthly income from performing services according to special regulations or other income according to regulations on Income Act, in an amount higher than average unemployment benefit paid in previous year.
- during sick leave
- during prison sentence up to 3 months
- during custody
- during voluntary military service
- during temporary unemployability determined by professional rehabilitation center.

Person can acquire the right for this benefits again when this circumstances cease to exist.

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

a) cash allowance during vocational training amounts 50% of minimum wage deduced for compulsory contributions (20% of gross), proportionally to days in which person was present at the training. Minimum salary in the gross amount, in 2015, was equal to 3 029.55 kuna

Reimbursement of travel expenses is paid in the amount of actual expenses of traveling by means of public transportation for the period when he/she was attending vocational training.

b) amount of cash assistance for persons who closed contract on professional development without conceiving employment is regulated in Decision made by Government of Republic of Croatia. Assistance is determined proportionally to the period that person was present at professional development. From the year of 2015, cash assistance amounts 2 400 kuna. In previous years cash assistance amounted 1 600 kuna.

c) lump-sum allowance for employment in place other than place of residence amounts 1 200 kuna. The amount is prescribed by Decision act of Croatian Institute for Employment. Reimbursement of travel expenses are paid for just one trip from place of residence to place of employment in the amount of actual costs of public transportation (train or bus), but the amount cannot be higher than 300 kuna per each person. Resettlement expenses is reimbursed in the amount of 50% of resettlement by cheapest means of transportation, but the amount cannot be higher than 1 000 kuna.

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

All benefits are non-means tested.

3.3 *Tax treatment of benefit and interaction with other benefits*

All benefits are tax free.

a) Person cannot simultaneously receive cash allowance paid during vocational training and: unemployment benefit; benefits paid during maternity, parental adoptive exclusion from work, benefits paid during maternity, parental or adoptive care for a new born child.

b) Person cannot simultaneously receive cash assistance for persons who closed contract on professional development without conceiving employment and: unemployment benefit; benefits paid during maternity,

parental adoptive exclusion from work, benefits paid during maternity, parental or adoptive care for a new born child.

Person can combine both of this benefits with: full amount of guaranteed minimum benefit and assistance in settling of housing and heating costs.

Interactions with other benefits depends on conditions for acquiring those benefits in a sense of eventual income regards.

When deciding on a right for child allowance, both of this benefits are regarded as income that influences acquiring child allowance or amount of child allowance.

3.4 *Benefit duration and waiting periods*

a) Cash allowance during vocational training – benefit is acknowledged till the end of vocational training.

b) Cash assistance for persons who closed contract on professional development without conceiving employment – this benefit is given on monthly basis for the whole period of professional development. This contract can be arranged for:

- period of 12 months for undergraduates, graduates, persons who finished integrated undergraduate or graduate university programme, or undergraduate or graduate specialist masters course
- period of 36 months for persons with craft related vocations and vocations where performing activity is conditioned with membership in professional associations

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including disabled*

4. Social assistance

Rights within the social welfare system are: guaranteed minimum benefit, assistance for housing and heating costs, allowance for personal needs of accommodation beneficiary, lump-sum benefit, benefits for educational needs, personal disability benefit, allowance for help and care, the status of the parent caregiver, up to employment benefit, and other social services.

Generally speaking, it can be said that the aforementioned rights can be granted to people who cannot provide maintenance by themselves through their work, rights arising from employment or insurance, property income, other fees or some types income under other regulations, neither with the help of people who are required to support them, or otherwise.

It is considered that a person can provide for himself/herself if revenue for settling his/her basic needs can be acquired by selling, leasing or renting property that does not serve neither to him/her nor to the other family members in order to meet their basic needs.

It is considered that a person is able to provide for himself/herself if he/she is not properly registered within the relevant employment office, or if he/she in the period of six months prior to the initiation of proceedings refused an offer of employment, or if he/she has an opportunity, even temporary, seasonally, or with occasional jobs to raise funds in order to meet the basic needs, or else to achieve other income (the latter condition was abolished in September 2015).

The conditions listed in the previous paragraph regarding employment are not applicable to:

- A person missing 5 years of life before obtaining right on an old-age pension
- A child from the age of 15 years while attending the school regularly, or a younger adult until the end of the regular education, and no longer than the age of 29 years
- Pregnant woman, a woman that gave birth in period of 6 month after birth, a parent who raises and takes care of a child till it reaches one year of age, twins till they reach three years of age or three or more children till they reach ten years of age, or parent who uses adoption leave, a person totally incapable to work
- person completely incapable for work
- Person for whom temporary unemployability was established
- Unemployed member of a household without income who provides for a child or adult family member who is incapable of taking care of himself, if that kind of care can substitute institutional care

Program name in local language		Zajamčena minimalna naknada (Guaranteed minimum benefit)
Minimum age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed	Yes
	Participation in integration measures	Yes
	Active job search	No
	Work requirement	No

	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	All conditions are described in chapter 4.1 (regarding income and property)
	Legal behavioural requirements for adult family members other than the benefit claimant	If the benefit is acknowledged to a household, then all members of a household must fulfil the conditions (registration as unemployed, participation in integration measures), otherwise benefit decreases for that person.
Determination of benefit levels		National
Uprating mechanism of the benefit		Basis for calculation of benefit is determined by Government's decision each year.
Other supplements to basic benefit (per family)		Housing benefit or assistance (cash or in-kind) for those heating with wood
Means-test for social assistance	Earnings disregards	Yes, all such income is described in details in chapter 4.2.2. Income and earnings disregards. It consists many benefits that are part of social protection system.
	Benefit withdrawal rate with regard to earned income	100% if the income is equal or higher to the amount of benefit.
	Assets included in means test?	Yes
	Other benefits included in the means test	Cash compensation for the period of unemployment (described in chapter 2)
Benefit provision (eligibility (E), generosity (G)) varies with	age	No
	family situation	- o Lone parent - 100% of base, - o Adult member of a household - 60% of base, - o A child - 40% of base. (conditions changed in September of 2015, as described in chapter 12)
	over time	No
	other	Single person – 100% of the base

There are two main basis for calculation of social welfare benefits:

- 1) Base for calculation of guaranteed minimum benefit, in the amount declared by government (800 kuna – 100% of the base)
- 2) Basis for calculation of amount of rights other than guaranteed minimum benefit (500 kuna)

Guaranteed minimum benefit is described in details in chapters 4.1, 4.2, 4.3, 4.4 and 4.5, lump-sum benefit is described under irregular additional payments, all other benefits are described in this chapter and in interaction with other benefits.

1. Guaranteed minimum benefit is a cash amount intended to secure basic life needs of a person or a household who haven't got means to settle basic life needs and can't acquire them through their work or property income or from persons obliged to support them, in the amount declared by government (described in details in chapters 4.1, 4.2, 4.3, 4.4 and 4.5).

Under term household, it is regarded a family or other union of persons who live and settle living costs together, regardless of kinship.

2. Benefits for school needs encompass:

a) Regular studying benefit is acknowledged to a person who is the user of social service of accommodation or service of organized housing, for studying in university course or professional degree course, up to quadruple amount of base for determination of rights other than guaranteed minimum benefit.

If this right is acknowledged to a person, he is not entitled any more to the right for accommodation service nor to organized housing service.

Request for acknowledgment of this right can be applied six months from the moment when right for accommodation or organized housing has ceased, at the latest.

Beneficiary of this right can also use this benefit in some cases of standstill in studying like military service, pregnancy, longer period of illness and other justified reasons.

This right is acknowledged to a beneficiary regardless of his financial status.

b) Benefit for settling accommodation costs in boarding school can be acknowledged to a child in a poor financial situation who attends high school and is not a member of a household who is the user of the guaranteed minimum benefit, if one of the following conditions are met:

- It is a child of a single parent and average monthly income per member of a family in three months before applying for benefit does not exceed the amount of two basis (for determination of rights other than guaranteed minimum benefit)
- Child is under guardianship, and personal income in three months before applying for benefit does not exceed the amount of 250% basis (for determination of rights other than guaranteed minimum benefit)
- Child is situated in a foster family and attends the school outside the place of residence of his foster family because attending the school cannot be secured in the place of residence.

This benefit is paid on monthly basis.

c) Compensation of travelling costs for education reasons, if the transportation is not secured on some other grounds, can be acknowledged to:

- Person with disability or child with developmental difficulties who attend the high school according to special program outside the place of his/her residence, or outside place where they learn to provide for themselves, and there is no need that a right for accommodation service or organized housing service be acknowledged
- Child situated in a foster family or family home (social service of accommodation) who attends the high school outside the place of residence

This benefit covers travel costs in both ways and is acknowledged according to lowest price of regular means of public transport for the shortest distance. If beneficiary uses personal vehicle benefit corresponds to amount of price of ticket for public transport.

If the person with disability or child with developmental difficulties attends the high school in the place of residence, that the transport is secured by local self-government unit if it's not secured on some other grounds.

Right for compensation of traveling costs, is also acknowledged to a child who attends high school in the year of 2013/2014, and who is a beneficiary of the guaranteed minimum benefit.

3. Assistance in settling of housing costs

Housing costs encompass: rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations. It can be granted to a single person or a family.

Right to assistance in settling of housing costs is granted to a person or a family who is a beneficiary of a guaranteed minimum benefit.

This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of guaranteed minimum benefit for family or single person. This right can be approved to full amount of the prescribed maintenance needs if the social welfare centre evaluates that this is the only way to avoid the separation of children from their parents. Amount of benefit also depends on financial abilities of local self-government units regarding their budgets.

Assistance in settling of housing costs can be granted in cash directly to the beneficiary or it can be provided in a manner that a competent authority wholly or partially pays the income directly to the authorized legal or natural person who provided the service.

4. Assistance in settling of heating costs

A single person or a family, beneficiary of the guaranteed minimum benefit, using wood for heating can be, once a year, provided by 3 m³ of wood or may be granted an amount of money to cover that cost. This right is financed from the budgets of regional self-government units who can determine the amount of cost that can be covered in cash instead of supplying wood.

5. Personal disability benefit

Personal disability benefit is a financial support intended for persons with severe disability or other serious long-term changes in health condition, in order to meet their basic needs for inclusion in the daily life of the community.

A user who is entitled to a personal disability benefit cannot simultaneously exercise the right to allowance for help and care in accordance with Social welfare act or other regulations.

Also, right for personal disability benefit cannot be entitled to:

- person who exercise the right for disability benefit on other grounds than mentioned;
- person who owns a house or apartment, beside house or apartment where he/she resides, that can be alienated or rented and thus person can secure the means for inclusion in community;
- person who owns office space that isn't used for registered business activity;
- child less than one year old (abolished in September of 2015);

- child or adult who exercises the accommodation service or service of organized housing in accordance with Social welfare act or other regulations.

Personal disability benefit amounts to 250% of monthly basis used for determination of the amount of rights other than guaranteed minimum benefit, for a person who does not have his/her own income or assets. If a person earns an income of any kind beside that mentioned in the next paragraph, personal disability benefit is calculated as the difference between the amount of personal disability benefit and the average income acquired in the three months prior to application.

Income mentioned above does not include guaranteed minimum benefit and assistance in settling of housing costs, pensions up to the amount of the minimum pension for 40 years of pension insurance time, orthopaedic addition, means for providing for a child (alimony) on the ground of regulations on family relations, scholarship for pupils and students during regular schooling or studying (from 2015) and child allowance.

Personal disability benefit is put in standstill for beneficiary who is serving prison sentence, is in custody or in investigation prison, or resides in foreign country in duration longer than two months.

6. Allowance for help and care

Allowance for help and care is cash benefit intended for person who cannot meet basic needs by himself/herself because of permanent changes in health condition, and therefore help and care of another person is much needed in organizing nutrition, food procurement, purchasing groceries, house cleaning, dressing, personal hygiene maintenance, and other basic needs.

This allowance cannot be acquired by a

- 1) Person who signed the lifelong support contract or contract for support until death
- 2) Person who owns a house or apartment, beside house or apartment where he/she resides, that can be alienated or rented and thus person can secure the means for help and care
- 3) Person who owns office space that isn't used for registered business activity
- 4) Single person whose average monthly income exceeds 250% of the basis (for determination of rights other than guaranteed minimum benefit), that is, if the average monthly income of family members exceed the amount of 200% of the basis, in three months before a month in which the application was submitted
- 5) Person who can achieve the right for help and care through some special regulation
- 6) Child less than one year old (abolished in September of 2015)
- 7) Person who was granted personal disability benefit according to Social Welfare Act or other regulations
- 8) Person who has been provided accommodation in social welfare institution or other providers of social services, in health or in another institution, or he/she uses right for organized occupancy.

Under income that influences acquiring this benefit, it is regarded all financial resources which single person or a family member achieves at home or abroad on the basis of work, pension, property income or otherwise (for example, income from share in capital, interests from savings etc.) in accordance with regulations of income tax, deduced by amount of paid tax and surtax.

Allowance for help and care can be granted in full or reduced amount, depending on whether there is an urgent need of help and care in full or reduced volume.

The amount of allowance

- In the full amount - 100% of prescribed basis (for determination of rights other than guaranteed minimum benefit)
- In the reduced amount - 70% of prescribed basis.

The allowance for help and care in full amount, regardless of conditions stated in items 2, 3 and 4 described in the paragraph above, can be acquired by

- Person with severe disability
- Person with severe continuous changes in health condition
- Blind, deaf and deaf blind person who is unable to live and work independently.

The allowance for help and care in reduced amount, regardless of conditions stated in items 2, 3 and 4 described in the paragraph above, can be acquired by

- Blind, deaf and deaf blind person who is capable of independent life and work and
- Person who is totally deprived of work capacity.

A child whose parent uses maternity or parental leave, or employment standstill until the child reaches age of three, does not have a right to allowance for help and care. However, a child whose parent uses a right for part time job, right for part time job because of child's need of intensive care, right for part time job or leave because child needs intensive care due to developmental difficulties can achieve right to allowance for help and care in reduced amount if he/she meets other condition prescribed by Social Welfare Act.

To a beneficiary of a right for help and care, exceptionally can be acknowledged social service of house assistance for needs described for this benefit, which cannot be attended by members of a family.

7. Status of the caregiver parent

Status of parent caregiver is recognised by the welfare centre, to one of the parents of a child with developmental difficulties, or of a person with disability, if one of following conditions is met

- a) Child is totally dependent on the help and care of another person because it is crucial for child's life support to be provided with specific care by performing a medical-technical intervention, for which the parent is qualified by doctor's recommendation
- b) Child is completely motionless even with the help of orthopaedic devices
- c) Child has several kinds of severe impairments (physical, mental, intellectual or sensory), and so is completely dependant on the help and care of another person for satisfying basic needs .

In a family with two or more children with developmental difficulties or with disability, status of parent caregiver can be acknowledged to both parents.

Exceptionally, one of the family members may be granted this status if both parents are dead or neither lives with the child and doesn't take care of a child or if the parent lives with the child but is unable to provide care because of physical or psychological condition. Except parent, this status can be recognized to marital or extramarital partner of a child's parent, who lives within a family union together with the child.

If one of the parents uses maternity, parental or adoption leave, status of parent caregiver for the same child cannot be acknowledged to the other parent. This status also cannot be acknowledged if the child with developmental difficulties, or person with disability, uses service of accommodation, organized

housing or accommodation (even if it is a half-day arrangement). But it can be acknowledged if a child stays in a pre-school, educational or health establishment or in a social welfare home for less than four hours per day.

Caregiver parent is entitled to compensation in the amount of five basis (for determination of rights other than guaranteed minimum benefit), pension and health insurance rights as well as to unemployment rights, as an employed person under special regulations. If a child is medically treated, parent caregiver has a right for this compensation if the treatment does not last longer than two months.

Status of caregiver parent ceases:

- By request of the parent caregiver or caregiver (other member of a family),
- If the parent caregiver or caregiver is unable to provide care because of physical or psychological condition,
- if the parent caregiver or caregiver doesn't provide proper care for unjustified reasons,
- if the parent caregiver or caregiver is in custody, investigation prison or serves prison sentence longer than two months,
- if the parent caregiver or caregiver reaches 65 years of age. But this condition does not apply in a case when this status cannot be granted to other member of a family,

in case of death of a child with developmental difficulties or person with disability, or death of parent caregiver or caregiver.

8. Up to employment benefit

Up to employment benefit can be granted to a child with developmental difficulties, or to a person with disability, for whom physical, mental, intellectual or sensory impairment has been established, after the primary, secondary or higher education, and the earliest at 15 years of age, under the condition that they don't receive compensation during their unemployment according to other regulations and they are registered as unemployed persons in Croatian Employment Service or that temporary unemployability has been established.

This right cannot be acquired by person for whom it has been established that is fully incapable for work.

Up to employment benefit is granted and paid by the Center for social welfare from the budget.

The amount of this benefit is set at 70% of basis (for determination of rights other than guaranteed minimum benefit). A beneficiary of this compensation cannot simultaneously be provided with allowance for help and care.

The beneficiary stops using this right when he becomes employed, but this right can be re-acquired in case of termination of employment (without beneficiary's fault) and if the beneficiary does not acquire unemployment benefit.

9. Allowance for personal needs of a user of accommodation service

This right is acknowledged to a user of a social service of accommodation and social service of organized housing in monthly amount of 20% of the basis (for determination of rights other than guaranteed minimum benefit) if the user is not able to satisfy personal needs during accommodation or organized housing with his own income. If beneficiary participates in expenses of accommodation or organized housing, amount of this participation is reduced for amount of allowance.

9. Social services

Social services cover activities, measures and programs whose purpose is to prevent, recognize and solve problems and difficulties of individuals and families, as to improve the quality of their life in community.

Social services are: primary social service (informing, recognizing and initial estimate of needs), advising and help, house assistance, psychosocial support, precocious intervention, assistance with inclusion in upbringing programs and regular educational programs, daily stay, accommodation and organized housing.

10a. Primary social service includes providing information of social services and providers of services to a beneficiary, aiding beneficiary to recognise his needs, initial estimation of beneficiary's capabilities and support and help to choose adequate right within social welfare system.

10b. Advising and help can be provided to a single person or to a family.

Advising and help to a single person is a social service consisting of system approached professional support of providing help to a person to overcome various difficulties and making conditions for maintaining and developing personal capabilities and responsible attitude of a person toward himself, his family or society. It can be provided to overcome difficulties related to illness, old age, death of a family member, disability, developmental difficulties, person's inclusion in everyday life after longer accommodation in social welfare home or at other providers of social services, health or penal institution or other unfavourable circumstances or crisis situations. In order to overcome difficulties related to communication and mobility problems, deaf or deaf and blind person acquire a right to professional interpreter.

Advising and help provided to a family consists of all forms of professional help to overcome difficulties related to family life, difficulties that parents have to face related to education and care for children and enabling family to function in everyday life. It includes support to a family, intensive support to a family facing a crisis situation, long term dealing with family members in order to improve family relations, psychological preparation of a child whose parent has to serve prison sentence and for contacts of a child with parent who is serving prison sentence in penal institution.

10c. House assistance is a social service that is acknowledged to an older person that, according to assessment of social welfare center needs help of other person. It is also acknowledged to a person who is in an urgent need of help of other person because of physical, mental, intellectual or sensory disability or long-term changes in health condition or because of temporary changes in health condition.

House assistance can be given under following conditions:

- help cannot be secured by parent, spouse and children,
- person didn't close a contract of lifelong support or contract for support until death,
- in a place of person's residence, it is possible to secure such help under conditions and manner prescribed by Social Welfare Act,
- person didn't alienate (sold or donated) real estates or movable property of higher value in period of one year before applying for social service and
- average monthly income in a period of three months before applying for benefit per member of a family or that of a single person doesn't exceed 300% of basis (for rights other than guaranteed minimum benefit)

If income described in previous point exceeds 300% but doesn't exceed 400% and all other conditions are met, beneficiary is acknowledged to 50% of expenses for house assistance service.

House assistance can include: organising nutrition (preparing or supply and delivery of meals to beneficiary's home), doing house chores (delivering of groceries, help in preparations of meals, washing

dishes, house cleaning, bringing water, taking care of heating, washing clothes, ironing, supply of medication and other necessities), maintaining personal hygiene (help in dressing, bathing and taking care of other hygiene needs), taking care of other everyday needs.

Service is provided by: social welfare home, center for house assistance, center for providing services in community and other service providers.

10d. Psychosocial support is a social service that includes rehabilitation that encourages development of cognitive, functional, communicational, or social abilities of beneficiary. It is acknowledged to a: child with developmental difficulties, adult person with disability, addict, victim of domestic violence and all other persons that need such help according to assessment of social welfare center. This social service can be acknowledged for a period of five hours weekly maximum if it is provided at beneficiary's family or foster family, that is six hours weekly maximum at service provider, but maximum two hours per day (from September of 2015 – twelve hours weekly maximum and it can be provided more than two hours per day).

10e. Precocious intervention is a social service that includes professional help of encouragement to children and professional advisory help to their parents, also including other members of a family and foster parent, and it is given because of risk connected to development or developmental difficulty of a child. Precocious intervention can be given to a child for whom have been established deviations in development, developmental risk or difficulties usually in a period until child reaches age of three, and not longer than child's age of seven. This social service can be acknowledged for a period of five hours weekly maximum. Beneficiary of this social service cannot use Psychosocial support simultaneously.

10f. Assistance with inclusion of a child with developmental difficulties or younger adult with disability in upbringing programs and regular educational programs is provided to teachers, and educators in preschool and school establishments. It can be acknowledged for a period of five hours weekly maximum

10g. Daily stay is a social service which can be granted for whole day (from six to ten hours) and half a day (from four to six hours). During daily stay, provider of service secures satisfying of basic life needs of a beneficiary. It includes: nutrition, maintaining of personal hygiene, health care, guarding, upbringing, providing care, work activities, psychosocial rehabilitation, organizing leisure time and organized transport depending on the needs and choice of beneficiary. It can be acknowledged for all working days during the week.

10h. Accommodation is a social service which can cover the services of habitation, nutrition, nurturing, health care, social work, psychosocial rehabilitation, physical therapy, working therapy, work activities, active leisure time, upbringing and education, depending on determined needs and choice of a beneficiary.

Accommodation can be provided temporary or long-term.

Temporary accommodation is acknowledged in situations of crisis, for conducting short period rehabilitation program, for accommodation of children without adequate parental care and other circumstances regulated in the Social welfare act.

a) Temporary accommodation in situations of crisis is acknowledged to:

- a child who is found without parental supervision or in vagrancy,
- adult found outside of his place of residence or temporary residence, or in a case he doesn't have a place of residence or temporary residence and he can't provide for himself,
- homeless person,
- pregnant woman,
- parent with a child who hasn't reached one year of age,

- children and adults who are victims of domestic violence and victims of human trafficking,
- adults whose life, health and security is endangered due to illness, inability, addiction or social exclusion.

Temporary accommodation in situations of crisis can last six months at the most. Exceptionally it can last one year at the most for: a pregnant woman or a parent with a child who hasn't reached one year of age, who doesn't own a house or apartment, doesn't have secured place where he can reside or because of disturbing family relations he/she can't stay with a child in a family home; child and adult who are victims of domestic violence; child and adult who are victims of human trafficking and homeless person.

In order to stop, moderate and put an end to cause of social exclusion of homeless person, provider of social service of accommodation, social welfare centre and local/regional self-government unit are obliged to co-operate and plan activities for homeless person's inclusion in community.

b) Temporary accommodation for conducting short period rehabilitation program

This kind of temporary accommodation is acknowledged to:

- Child with developmental difficulties and adult person with disability
- Child or younger adult with behavior difficulties
- Person who is addicted to drugs, alcohol, gambling and other forms of addiction

This temporary accommodation serves for conducting short period rehabilitation program, which covers services of psychosocial rehabilitation for adopting and developing social skills. This service can also be acknowledged to a parent of a child with developmental difficulties who was directed to short-term rehabilitation program so he/she can take active part in conducting of rehabilitation program in a period of time not longer than 15 days during one year.

Accommodation of this kind can last as long as the need for it exists but not longer than one year for child with developmental difficulties or person with disability, that is three years for child or younger adult with behavior issues and person who is addicted to drugs, alcohol, gambling and other forms of addiction.

c) Temporary accommodation of children without adequate parental care

Temporary accommodation in a social welfare home, centre for providing services in community or at some other provider of services can be acknowledged to a child (especially to a child who didn't reach seven years of age) only in case that accommodation cannot be secured in foster family or family home (social service of accommodation) in the moment of occurrence of this need. This accommodation is acknowledged while there is a need of this service but not longer than six months. Exceptionally, this service can be provided for a period of time longer than six months but not longer than a year if there's a need for a health service or some other treatment that must be provided to a child which the child cannot receive in a foster family.

Also if it is in child's interest this service is acknowledged to a child whose parents temporary cannot take care of a child due to illness, unsolved housing arrangement or other difficulties connected with life conditions, in a period not longer than one year.

d) Temporary accommodation because of other circumstances

Temporary accommodation is acknowledged to a child or adult, if his/her parent caregiver or a caregiver uses a vacation, in duration of 30 days at the most during one year, or in a case of temporary incapability for providing care due to illness of a parent caregiver or a caregiver while there is a need of this service but not longer than 60 days during one year.

Temporary accommodation in a foster family during holidays or school vacations is acknowledged to a child and adult person with disability who uses accommodation in social welfare home, center for providing services in community or at some other provider of services for a reason of acquiring experience in a family environment.

This service can also be acknowledged to a child and adult person with disability for a reason of gradual adjustment on long-term accommodation apart from his own family or foster family, or to a child and adult person to prepare himself/herself to non-institutional care, in a period not longer than six months.

This service can also be acknowledged to a child with developmental difficulties and adult person with disability for attending school by special program outside from the place of residence if it cannot be secured in a place of residence in a period of regular schooling but till the point when person reaches 21 years of age.

Long-term accommodation is acknowledged to a beneficiary for whom it is necessary to assure intensive care and fulfilment of other basic needs during longer period of time.

Long-term accommodation in a foster family, family home (social service of accommodation) or organized housing is acknowledged to a child who lost both parents, child neglected from parents and a child whose parents abuse their parental obligations.

Long-term accommodation is acknowledged to a person with disability, person with physical, mental, intellectual or sensory impairment according to person's age and type and level of impairment when it is not possible to secure proper care within person's family by providing adequate non-institutional type of care.

Long-term accommodation is acknowledged to an older person who is dependent of others and person who is seriously ill and who, because of constant changes in health condition, is in a great need of help and care of other person.

Long-term accommodation is acknowledged to a person who is incapable of work and lives in especially hard living conditions which cannot be solved by using other social welfare rights or in some other way.

Long-term accommodation **won't be** acknowledged to a:

- Person who closed the lifelong support contract or contract for support until death
- Person who can be provided with help and care by members of a family or in some other way

Organized housing

Organized housing is a social service intended for one or more persons, during whole day, with organized constant or temporary help of professional or other person, in a place of stay or outside, for securing basic needs and social, working, cultural, educational, recreational and other needs.

Organized housing can also refer to living in a group of housing units that are on the same location. In one housing unit, eight beneficiaries at the most can reside.

Participation of beneficiary in costs of social service

Beneficiary, an adult user of social services on the ground of decision issued by social welfare center, is obliged to participate in the price of service with his income. If his income is not sufficient to cover the

participation, then he is obliged to sell property that he or members of his family don't use for meeting their basic housing or other basic life needs. If an amount needed for participation in the price of service cannot be acquired by beneficiary's income or property, then persons that are obliged to support beneficiary have to settle the price in the full or partial amount. Costs of social service burden Ministry for Social Politics and Youth if means cannot be acquired in a manner described.

Parents of a child who is a beneficiary of social service are obliged to pay the full amount of service or participate in the price of service. This rule doesn't apply to parents who are beneficiaries of guaranteed minimum benefit.

Child who is receiving regular monthly income is obliged to participate in the price of a service up to 50% of income at the most. Potential income from child's property is not taken in regard.

4.1 Conditions for receipt

Guaranteed minimum benefit is a cash amount intended to secure basic life needs of a person or a household who haven't got means to settle basic life needs in the prescribed amount (chapter 4.2) and can't acquire them through their work or property income or from persons obliged to support them.

The right to guaranteed minimum benefit is not provided for a single person or household member who:

- Owns a house or apartment, beside house or apartment where he/she resides, that can be sold or donated or rented and thus person can secure the means for settling the basic needs, or if the person owns office space that isn't used for registered business activity or if he/she owns valuable movables;
- In time period of three years before submitting an application for the benefit has sold or donated property, waived his/her right to inherit property or ceded his share of inheritance, if from the amount achieved by that sale, or the amount that corresponds the level of tax base for paying taxes for donated property, or the amount of his share of inheritance which he/she waived or ceded could assure allowance in the amount of guaranteed minimum benefit even after applying for benefit; (abolished in September of 2015)
- Owns a property which can be used or sold without endangering basic needs and thus secure means in the amount of guaranteed minimum benefit;
- Owns a registered personal vehicle, except the vehicle which is used for transportation of a family member - user of a right based on personal disability, as well for transportation of elderly and powerless persons with moving difficulties, or in case the welfare centre determines that the vehicle is necessary because of traffic isolation;
- Uses a registered personal vehicle owned by other person or legal entity;
- Signed the lifelong support contract or contract for support until death, as recipient of support;
- Is capable for work but isn't registered as unemployed person at Croatian Employment Service except in a case of a:
 - a) person who misses five years at most for acquiring right for old age pension,
 - b) child who is at least 15 years old while attending school regularly and younger adult until the end of the regular education but not older than 29,
 - c) Pregnant woman or woman that gave birth in period of 6 month after birth or parent who raises and takes care of a child till it reaches one year of age, twins till they reach three years of age or three or more children till they reach ten years of age, or parent who uses adoption leave,
 - d) person completely incapable for work
 - e) person for whom temporary unemployability has been established,

f) unemployed member of a household without income who provides care for a child or adult family member incapable of taking care of himself, if that kind of care can substitute institutional care,

- Can acquire support on other grounds

Also, a homeless person who is temporary situated in a shelter (abolished in September of 2015) and beneficiary of social service of accommodation or organized housing does not have a right for guaranteed minimum benefit.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The Croatian government prescribes the financial base upon which the amount of guaranteed minimum benefit is determined. Amount of benefit cannot be higher than the gross amount of a minimum wage.

According to decisions of the Government, the base was established in the amount of 800 kuna.

The amount of guaranteed minimum benefit is calculated as the percentage of the base:

- For a single person - 100% of the base,
- Household, for:
 - Lone parent - 100% of base,
 - Adult member of a household - 60% of base,
 - A child - 40% of base.

With the Act of Amendments of Social Welfare Act that entered into force on 24 September of 2015, amount of guaranteed minimum benefit has been raised for a single person who is incapable for work to 115% of the basis (if a single person is capable for work amount remains 100% of the basis) and for a child of a lone-parent to 55% of the basis.

If a person or a household member receives income, the amount of a guaranteed minimum benefit corresponds the difference between the prescribed amount of benefit for a person/family without income and average monthly income of a person or a household achieved in a period of 3 months, preceding the month in which the application was initiated in order to achieve the benefit.

Income includes the all financial resources which single person or a family member achieves at home or abroad on the basis of work, pension, property income or otherwise (for example, income from share in capital, interests from savings etc.) in accordance with regulations of income tax, deduced by amount of paid tax and surtax.

Income doesn't include many receipts which make elements of the social protection system: assistance in settling of housing costs, financial compensation for physical disability, allowance for help and care, orthopaedic addition, personal disability benefits, child allowance, and alike (described in details under income and earnings disregards).

Likewise, assistances and fees provided by local and regional self-government units are not included in the income, up to the amount of the basis. The same situation refers to amounts that are paid by a family

member for support of a person with whom he/she does not live, based on the regulation of family relations.

The amounts of the guaranteed minimum benefit for household are increased for the amount of accommodation cost of the household member in boarding school during school time.

Also, amount of benefit for family is reduced for a share of family member who is capable for work but is not registered as unemployed at the employment office (except for categories of beneficiaries described under point 7 in conditions for receipt) and a share of family member who closed lifelong support contract or contract for support until death as recipient of support.

If a person or a household member, who is capable for work or partially capable, and is a beneficiary of the guaranteed minimum benefit in the period of at least a year, becomes employed, then in the first month of his employment this benefit does not cease and does not decrease for earned income. In the second month of the employment amount of a benefit decreases for 25%, and in the third month for 50%. If this person or a household member is employed longer than three months and his/her average income is higher than the amount of guaranteed minimum benefit then the right for this benefit ceases.

4.2.1.1 Irregular additional payments

1. Lump-sum benefit

Lump-sum benefit is acknowledged to a single person or family who, due to the current material difficulties, are not able to meet some basic needs caused by the birth or education of a child, illness or death of a family member, natural disasters, etc. (it can exceptionally be granted to users of social service of accommodation and organized housing if the needs described here are not met within these social services).

Lump-sum benefit can be recognized for the procurement of basic household items or necessary clothing and footwear if there is no option of ensuring these necessities in cooperation with humanitarian organizations.

Lump-sum benefit can be acknowledged to a user of the right of accommodation in a foster family if he/she attends primary school or high school for purchasing school books, if this right cannot be achieved on other grounds.

Lump-sum benefit can be acknowledged to users of temporary accommodation during certain crisis for compensation of travel costs to a place of residence, family or foster family, social welfare home, other provider of service, other establishment.

Lump-sum benefit is a right to compensation in cash or in kind. Center for social welfare can acknowledge a compensation in kind if there is a reasonable assumption that the beneficiary won't use it for a purpose for what the compensation was given.

The total yearly amount of all recognized lump-sum benefits cannot reach more than the value of five basis (for rights other than guaranteed minimum benefit) for single person, or value of seven basis for a household.

2. Increased lump-sum benefit

In particularly justified cases Center for social welfare can acknowledge increased lump-sum benefit with previous consent of the Ministry of Social Policy and Youth, it can be acknowledged in the amount not higher than 10.000 kuna.

When submitting the request to the Ministry of Social Policy and Youth, Center for social welfare is obliged also to submit social and anamnestic information, evidence of the justification of request and amount needed to cover the need.

3. Lump-sum benefit for funeral costs of the person who was the user of guaranteed minimum benefit and the person who was the user of accommodation service or organized housing service

Lump-sum benefit for funeral costs is acknowledged for a funeral of a person who doesn't have a caregiver (legal or by contract of lifelong support or contract for support until death), under the condition that in a time of death:

- a) Person is the user of a guaranteed minimum benefit or member of a household that uses the same benefit
- b) Person is the user of accommodation service or organized housing service

Center for social welfare will claim reimbursement of funeral costs from the successors of deceased if he/she has an income or property.

Center for social welfare acknowledges this lump-sum benefit to the amount of elementary funeral costs in a place of death or a place where funeral is held, transportation costs of the decedent are also included. The benefit is paid to a person or legal entity who bear the costs of a funeral or firm registered for giving funeral services who performed the service.

4.2.1.2 Obligations of family members

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

If a person or a household member receives income, the amount of a guaranteed minimum benefit corresponds the difference between the prescribed amount of benefit for a person/family without income and average monthly income of a person or a household achieved in a period of 3 months, preceding the month in which the application was initiated in order to achieve the benefit.

Income includes the all financial resources which single person or a family member achieves at home or abroad on the basis of work, pension, property income or otherwise (for example, income from share in capital, interests from savings etc.) in accordance with regulations of income tax, deduced by amount of paid tax and surtax.

Income that can influence acknowledgment of the right to guaranteed minimum benefit doesn't include many receipts which make elements of the social protection system: assistance in settling of housing and heating costs; financial compensation for physical impairment; allowance for help and care and personal disability benefit based on Social Welfare Act and other special regulations; orthopaedic addition; child allowance; aid granted by state for agriculture, rural development, fishing and aquaculture; scholarships for pupils and students during regular schooling and studying but not longer than student's 29 years of age; allowance for foster parent; means for covering losses that came as a consequence of natural disasters; child support based on temporary support of a child in social welfare center and based on special regulations but to certain amount; cash allowance and compensation of travel expenses during professional development without conceiving employment and during vocational training; various cash benefits based

on Act on the Rights of Croatian Defenders of the Homeland War and Members of their Families and Act on Protection of Military and Civilian War Invalids and their family members; support for new-born baby and for fittings of new-born baby and few other types of income that are not connected to social protection.

Likewise, assistances and fees provided by local and regional self-government units are not included in the income, up to the amount of the basis.

Income taken in regard will also be reduced for the amount of support (according to regulations arranging family relations) that beneficiary pays to a person who doesn't live in a same household with him.

Income disregards for benefits granted to beneficiaries of the guaranteed minimum benefit (assistance in settling housing and heating costs) are the same as for that benefit (described above).

Income disregards for other benefits were described before in a case of all benefits for which disregards are specified in Social welfare act.

4.3 Tax treatment of benefit and interaction with other benefits

Social supports described in this chapter are not taxed.

1. Guaranteed minimum benefit can be combined in full amount with: assistance in settling of housing and heating costs; financial compensation for physical impairment (described in chapter 8); allowance for help and care and personal disability benefit based on Social Welfare Act and other special regulations; orthopaedic addition; child allowance; allowance for accommodation in foster family; cash allowance and compensation of travel expenses during professional development without conceiving employment and during vocational training and other benefits described in 4.2.2. (income disregards).

Regarding other benefits that are not mentioned in "income disregards" like unemployment benefit for instance, or maternity and parental supports, beneficiary of those benefits is entitled to minimum benefit only if those benefits along with other eventual income are in an amount lower than guaranteed minimum benefit, and in that case he receives a difference in amounts of full amount of guaranteed minimum benefit and the other benefit.

2. Assistance in settling of housing and heating costs is acknowledged to the beneficiaries of guaranteed minimum benefit, so it can be combined with same benefits as guaranteed minimum benefit.

3. Person can combine personal disability benefit with full amount of: guaranteed minimum benefit, assistance in settling of housing and heating costs, child allowance, orthopaedic addition, scholarships for pupils and students during regular schooling and studying and means for child support according to regulations of family relations.

Regarding other benefits, beneficiary of those benefits is entitled to personal disability benefit only if those benefits along with other eventual income are in an amount lower than personal disability benefit, and in that case he receives a difference in amounts of full amount of personal disability benefit and the other benefit.

Personal disability benefit cannot be combined with personal disability benefit acquired on some other ground and allowance for help and care.

4. Allowance for help and care cannot be combined with allowance for help and care acquired on some other ground and personal disability benefit. This benefit cannot be granted to a child whose parent uses

maternity and parental leave, but, if a parent uses right to half-time working arrangement during: maternity or parental leave, leave due to intensive care for a child or leave for providing care to a child with grave developmental difficulties, then a child can acquire allowance for help and care in reduced amount.

Other social welfare benefits can be combined with allowance for help and care since they are not regarded as income of influence for this benefit. If beneficiary is suffering from severe disability, severe continuous changes in health condition, or if the person is blind, deaf, deaf blind, or totally deprived of work capacity, then allowance for help and care is acknowledged, regardless of person's total income and other benefits except personal disability benefit and allowance for help and care acquired on some other grounds.

Exceptionally, to a beneficiary of allowance of help and care, social service of house assistance can be acknowledged, if his family members can't provide adequate support.

5. Status of parent caregiver can't be acknowledged if the social services of accommodation, daily stay or organized housing has been approved to a child with developmental difficulties or person with disability.

According to Social Welfare Act, if one parent uses maternity, parental or adoptive leave, then the status of parent caregiver for the same child can't be acknowledged to the other parent. But, Maternity and Parental Benefits Act prescribes that person with the status of parent caregiver during maternity and parental leave receives 50% of the budget basis. So, this compensation can be combined with compensation for parent caregiver if one parent uses both benefits.

Compensation for parent caregiver cannot be combined with unemployment benefit.

Compensation for parent caregiver is included in income that influences grant for guaranteed minimum benefit, so it is unlikely that these two benefits can be combined (only if the amount of this benefit along with other eventual income is in amount lower than guaranteed minimum benefit, then the beneficiary would receive the difference between the two amounts).

6. Up to employment benefit cannot be combined with other unemployment benefits and allowance for help and care.

Regarding other benefits, combination of up to employment benefit with them depends on conditions for receiving those benefits. This benefit is included in income that influences grant for guaranteed minimum benefit, so these two benefits can be combined only if the amount of this benefit along with other eventual income is in amount lower than guaranteed minimum benefit.

4.4 *Benefit duration and waiting periods*

Till September of 2015, to a person or a household member, who is capable for work or partially capable, right for a guaranteed minimum benefit was acknowledged in a period of two years at the most, and he/she doesn't have a right to submit new request for a guaranteed minimum benefit, or for the increase of the benefit of a household for the share of this member, in a period of three months from a month when the right ceased or has decreased (abolished in September 2015, duration is delimited).

If a person or a household member, who is capable for work or partially capable, and is the user of the guaranteed minimum benefit refuses a job offer, training, retraining or additional training, or if he/she cancels the job contract in his own will, he/she loses the right on a benefit, or (in a case of a benefit for a household, benefit is decreased for a share of that member). In such cases, person doesn't have a right to submit new request for a guaranteed minimum benefit, or for the increase of the benefit of a household in a

period of six months from a month when the right ceased or has decreased. (this conditions are applicable for all beneficiaries except for the categories determined as exceptions and described in 4.1 under point 7 - person missing 5 years of life before obtaining right on an old-age pension and others...)

Person or a household member, who is capable for work or partially capable loses the right on a guaranteed minimum benefit as he/she refuses to participate in the work for common good without compensation, on a summon from a local and regional self-government units. In such case, person doesn't have a right to submit new request for a guaranteed minimum benefit, or for the increase of the benefit of a household in a period of six months from a month when the right ceased or has decreased. (this conditions are applicable for all beneficiaries except for the categories determined as exceptions and described in 4.1 under point 7 - person missing 5 years of life before obtaining right on an old-age pension and others...)

The right to guaranteed minimum benefit ceases if by monitoring of financial or other social conditions of beneficiary, it is determined that these conditions are considerably more favorable than those that can be secured with benefit. This right also ceases if an individual or a family member is: hospitalized, in custody or in investigative imprisonment, serves a prison sentence, user of social service of temporary accommodation, or is staying abroad, for a continuous period of more than 2 months. Also, the right to guaranteed minimum benefit ceases for the individual or a member of a household each month in which they stay more than 15 days abroad or for a person or a household member who, during the process of acquiring this right, gave false or incomplete information about income or he didn't make it possible for a centre for social welfare insight of income or property. In case of giving false or incomplete information of income or refusing an insight to social welfare center, person cannot apply for a benefit in a period of six months from the point of losing this right.

If a person or a household member, who is capable for work or partially capable, and is the user of the guaranteed minimum benefit in the period of at least a year, becomes employed, than in the first month of his employment this benefit does not cease and does not decrease for earned income. In the second month of the employment amount of a benefit decreases for 25%, and in the third month for 50%. If this person or a member of a household is employed longer than three months and his/her average income is higher than the amount of guaranteed minimum benefit than the right for this benefit ceases.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Child who is at least 15 years old while attending the school regularly and younger adult until the end of the regular education but not older than 29, has a right for guaranteed minimum benefit even if he is not registered as unemployed person at Croatian employment service (if he fulfils other conditions for minimum benefit).

4.5.2 *Older workers*

Person who misses up to five years for acquiring right for old age pension has a right for guaranteed minimum benefit even if he is not registered as unemployed person at Croatian employment service (if he fulfils other conditions for minimum benefit).

4.5.3 *Others if applicable, including disabled*

Guaranteed minimum benefit

Following categories described below also have a right for guaranteed minimum benefit even if they are not registered as unemployed persons at Croatian employment service:

Pregnant woman or woman that gave birth in period of 6 month after birth or parent who raises and takes care of a child till he reaches one year of age, twins till they reach three years of age or three or more children until they reach ten years of age, or parent who uses adoption leave, person fully incapable of employment, person for whom temporary unemployability was established, unemployed member of a household without income who provides for a child or adult member of a family who is not capable of taking care of himself, if that kind of care can substitute institutional care (if they fulfil other conditions for minimum benefit).

Lone parent receives a higher amount of benefit. After Amendments of Social welfare Act in September of 2015, child of a lone parent receives higher benefit than child living with both parents. Also, single person incapable for work receives higher benefit than single person capable for work.

Allowance for help and care

Person with severe disability, person with severe continuous changes in health condition, blind, deaf and deaf blind person, person who is totally deprived of work capacity acquire a right for allowance for help and care regardless of income and property conditions.

5. Housing benefits for rented accommodation

Regular housing benefits	Program name in local language		Naknada za troškove stanovanja (Assistance for settling of housing costs)
	Entitlement depends on	Household type/size	No
		Income	Yes - benefit is granted to beneficiaries of subsistence allowance (which is dependent on income)
		Dwelling size	No
		Geographic location	No
		Actual rental cost	No
	Description of regular housing benefit		Accommodation costs are compensated up to 50% of the monthly subsistence allowance; higher coverage in case of families that risk separation upon assessment of the social welfare centre
	Uprating mechanism of the benefit		Basis for subsistence allowance is determined by Government's decision each year.
Housing related support through other benefits			Heating supplement (cash or in-kind) for social assistance recipients when heating with wood.

1. Assistance in settling of housing costs

Assistance in settling of housing costs is described in chapter 4 of this Questionnaire.

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations. It can be granted to a single person or a family.

Right to assistance in settling of housing costs is granted to a person or a family who is a beneficiary of a guaranteed minimum benefit.

This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of guaranteed minimum benefit for family or single person. This right can be approved to full amount of the prescribed maintenance needs if the social welfare centre assess that is the only way to avoid the separation of children from their parents.

Assistance in settling of housing costs can be granted in cash directly to the beneficiary or it can be provided in a manner that a competent authority wholly or partially pays the income directly to the authorized legal or natural person who provided the service.

2. Program of stimulated housing construction

Also, the Croatian Real Estate Agency and the Ministry of Construction and Physical Planning began with a program of leasing apartments, which are built within the program of stimulated housing construction, under favorable conditions.

Monthly rent amounts:

- 25 kuna per m² for an apartment whose size is equal or less than 60 m²
- 20 kuna per m² for an apartment whose size is larger than 60 m²
- 15 kuna per m² for a garage
- 10 kuna per m² for a parking spot in garage

The lease contract is concluded for a period of 60 months, with the possibility that the duration of the lease is extended for the following periods of 36 months.

After the expiration of certain lease time, beneficiary can also purchase the property.

The purchase price of the property is determined by the lease agreement and may be reduced by the amount of rent paid, in a following manner

- If a period of up to 36 months passes from the time of signing the lease contract until the time of signing the purchasing contract, than the purchase price will be reduced by the full amount paid for lease (100%)
- If a period of more than 36 months, but no longer than 60 months passes from the time of signing the lease contract until the time of signing the purchasing contract, the purchase price will be reduced up to the 85% of the amount paid for lease
- If a period of more than 60 months passes from the time of signing the lease contract until the time of signing the purchasing contract, the purchase price will not be reduced.

Beside above mentioned arrangement, city of Zagreb leases:

- Apartments intended for public, owned by the city and
- Apartments owned by the city

3. City of Zagreb

Beside above mentioned arrangement, city of Zagreb leases:

- Apartments intended for public, owned by the city and
- Apartments owned by the city

A. Apartments intended for public owned by the city

The lease contract is concluded for a period of 5 years, with the possibility that the duration of the lease is extended. Beneficiaries are described under 5.1

Monthly price of the rent amounts:

- 64 eur + 1.6 eur per m² for an apartment whose size is less than 60 m²
- 92 eur + 1.4 eur per m² for an apartment whose size is equal or larger than 60 m²
- 108 eur + 1.2 eur per m² for an apartment whose size is equal or larger than 100 m²

B. Apartments owned by the city

The lease contract is closed for a limited period, with the possibility that the duration of the lease is extended.

Act on Lease of Apartments defines two types of prices of rent: a) protected price of rent (smaller amount intended for certain categories living in difficult financial or with difficult health conditions) and b) freely agreed price of rent – but for giving apartments in lease in Zagreb, this price is prescribed in different exact amounts (higher than protected rent).

This housing program acknowledges protected amount of rent to persons living in difficult social (financial) or health conditions (described under 5.1)

Amount of protected price of rent depends on an apartment's furniture, apartment's usability, the maintenance costs of common parts and installations of the building and household's capability to pay the price of the rent. It cannot be lower than the amount needed to cover expenses for regular maintaining of the building. For the apartment of size 60 square meters, protected rent would amount approximately above 330 kuna up to 800 kuna (information from the Proposition of the Act of Amendments of Act on Lease of Apartments made by Ministry of Construction and Physical Planning).

4. Programs of leasing apartments in areas of special state care

According to Act on Areas of Special State Care, these areas are determined in order to achieve more equal development of all areas in the Republic of Croatia, encourage demographic and economic progress, complete reconstruction programs, return of pre-war population and permanent settling of housing needs.

There are three groups of areas of special state care. First two groups are determined according to conditions arose as a consequence of aggression on the Republic of Croatia, and third group is determined according to economic development, structural difficulties and demographic criteria.

Settling housing needs through lease of apartments can be achieved through: leasing houses and apartments owned by state (just for first two groups of areas of special state care) and leasing damaged houses owned by state along with granting construction material. Apartments and houses are already disposable or will be build or reconstructed according to specific programs.

5.1 Conditions for receipt

1. Assistance in settling of housing costs

Right of assistance in settling of housing costs is provided to a person or a family who is a beneficiary of a guaranteed minimum benefit. So, conditions of receipt of settling of housing costs are the same as of guaranteed minimum benefit, and which are described in chapter 4 - Social assistance (4.1 Conditions for receipt).

2. Stimulated housing construction

Right to apply for a lease of apartments built under the program of stimulated housing construction, have:

- Croatian citizens who, as well as their household members, do not own the suitable property for living in the area where the property intended for rent is located
 - Suitable property implies ownership of housing (apartment or house) which is equipped with adequate infrastructure (water, sewage, electricity, etc) and complies with the sanitary conditions for healthy housing, size about 35 m² of usable floor space for one person, and for any additional person about 10 m² more

- People to whom, price of anticipated rent doesn't exceed 30% of total monthly income of all family members

Following criteria is taken in consideration to determine tenants who will have advantage in closing lease contract: housing status, period in which applicant for lease is living in the area where apartment that is being leased is situated, number of family members, status of single parent, applicant's age and education level, number of children of preschool age and those attending school, disability or physical impairment of applicant or his family member, involvement in Homeland war, status of Croatian military war invalid, status of family member of Croatian Homeland War Defenders who are casualty of war, imprisoned or missing.

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3. City of Zagreb

A. City of Zagreb prescribes following criteria for the leasing of apartments intended for public

Right to acquire apartment in lease can be granted to persons who fulfill all of the following conditions:

- Persons with a place of residence in Zagreb
- Persons who do not own available adequate apartment or a house in Republic of Croatia and neither do the members of their household
- Persons with income per member of their household above 30% of average monthly salary achieved in Zagreb in a period of three months before the tender for a lease
- Persons with housing status of: a) sub tenant, b) protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and danger for the lives of people and property, c) protected sub tenant that resides in an apartment within a private property, d) user or a tenant living in an former apartments of a building supervisor, or beneficiary of adapted mutual premises; e) residing with parents or parents of a spouse in inadequate apartment, f) residing with parents or parents of a spouse in adequate apartment.

By adequate apartment it is considered:

- for single person – one room apartment
- for family with two members – apartment with two rooms or one and a half
- for family with three or four members - apartment with three rooms or two and a half
- for family with five or six members- apartment with four rooms or three and a half
- for family with more than six members- apartment with fore rooms or larger

Persons who are interested can apply for a public tender. Following criteria is taken in regard for advantage when providing lease of those apartments: period of residing in Zagreb, age of applicant, title of scientific novice, master of science, doctor of science, employee in a field of culture or a public employee, housing status, number of members of a family household, single parent status, victim of domestic violence, disability of an applicant or a member of a household, status of Homeland War defender.

B. Criteria for the leasing of apartments owned by the city of Zagreb

Right to acquire apartment in lease have persons who fulfill one of the following conditions:

B1. Persons whose housing status is not solved, they have no options to solve it in some other manner and they reside in Zagreb at least 10 years before application for lease. Persons that belong in this category are:

- Citizen of Zagreb, who in Zagreb area or in Croatia doesn't own available house or flat, members of his family likewise,

- Protected sub tenant doesn't live in a adequate apartment,
- Protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and endangered stability,
- Person whose average monthly income per member of a household doesn't exceed 50% of average monthly salary for Zagreb in previous year

B2. Protected sub tenant that resides in the object for whom decision of dislodgment was delivered because of decrepitude and endangered stability

B3. Protected sub tenant that resides in an apartment owned by the city, of size that exceeds household needs

B4. Persons who use an apartment on the grounds of the lease contract with the city of Zagreb, but ownership of apartment has been changed

B5. Persons for whom there is a commitment of giving apartment in lease on legal grounds and valid court decisions

For the first category of users (persons whose housing status is not solved, they have no options to solve it in some other manner and they reside in Zagreb at least 10 years before application for lease) apartment is given in lease for 5 years with protected price of rent, while for other categories duration of lease is determined in previous lease contract that was closed or based on a court decision.

Person cannot apply for a lease of apartment if he/she or a household member own an adequate house or apartment in city of Zagreb or in Zagreb County.

This right is also not acknowledged to a person who:

- brought herself into unfavorable housing status by selling, donating, replacing or alienating in some other way a family house or flat, in her own will;
- lives in adequate apartment owned by her parents or parents of her spouse.

By adequate apartment for this housing program it is considered:

- for family household up to two members – apartment not larger than 40 m²
 - for family household up to four members – apartment not larger than 65 m²
 - for family household up to six members - apartment not larger than 75 m²
 - for family household up to eight members - apartment not larger than 85 m²
- With possible oscillations up to 5 m²

Certain advantage for taking apartment in lease has a person living in a difficult social and health conditions if she: resides in Zagreb for at least 10 years; belongs in category described in point B1; hasn't brought herself into unfavorable housing status by selling, donating, replacing or alienating in some other way a family house or flat, in her own will; doesn't live in adequate apartment owned by her parents or parents of her spouse.

These categories are considered to live in a difficult social and health conditions:

Person with full physical impairment or incapability to work, person with grave physical or mental impairment or mental illness and dependent of care of other and are beneficiaries of certain social welfare rights, persons who are victims of domestic violence (according to valid court decision not older than one year) with personal income that does not exceed 50% of average monthly salary achieved in Zagreb in previous year, persons with Homeland War defender status who are beneficiaries of living cost allowance and persons who because of their deafness use the right for an allowance for help and care. To this persons apartment is given in lease for 5 years with protected price of rent.

Advantage list for potential tenants is formed in a manner that on the top of the list are persons with most points (lowest income) gained for fulfilling prescribed conditions. Regarding the income of household members, person gets:

- 12 points if his income doesn't exceed 19,99% of average monthly salary for Zagreb in previous year,
- 8 points if his income is in a range between 20% and 39,99% of average monthly salary for Zagreb in previous year,
- 4 points if his income is in a range between 40% and 50,00% of average monthly salary for Zagreb in previous year,

Also, advantage for taking apartment in lease have employees in fields of science and culture, public officials and other persons that are of special interest for City of Zagreb or Republic of Croatia. Duration of lease for this persons is 3 years maximum with freely agreed price of rent (five times amount of protected price of rent).

Apartment can temporary be given in lease with freely agreed price of rent (double amount of protected price of rent) to persons elected or appointed to duty and officials employed in city public service and administrative bodies, while performing the duty.

Therefore, main criteria which will be taken in regard to determine advantage list for giving apartment in lease are: housing status, social (financial) and health condition, period of residing in Zagreb and involvement in Homeland war.

Lease contract closed for limited period can be extended under same conditions (protected price of rent), if tenant can prove that income per member of his family doesn't exceed 50% of average monthly salary for Zagreb in previous year, that he, his spouse or juvenile member of his household hasn't acquired, sold or donated available house or flat. If income per member of his family exceeds 50% of average monthly salary for Zagreb in previous year, he can be offered to close lease contract with freely agreed price of rent (five times amount of protected price of rent).

Tenants whose number of family members has reduced, and apartment size doesn't correspond to size of adequate apartment (as described before), will be offered a smaller apartment in order to continue paying protected price of rent, the other option is to arrange paying freely agreed price of rent.

4. Programs of leasing apartments in areas of special state care

Rights are acknowledged to natural persons with place of residence or stay in areas of special state care and settlers in those areas.

Flat area of house or apartment is determined according to number of family members:

- 35 m² for single person,
 - 45 m² for family with two members,
 - 55 m² for family with three members,
 - 65 m² for family with four members,
 - 75 m² for family with five members,
- + 10 m² for every additional family member

Person or a family can acquire a right of taking apartment in lease if they do not own or co-own another house or flat in Croatia (or in another country where they have/had place of stay) that is available immediately, and they didn't sell, donate or alienate in any other way such house or flat after 8 October of

1991, that is if they didn't acquire a status of protected tenant. Under term house or flat available immediately it is considered that building fulfils condition of mechanical resistance and stability and settles minimum hygienic and health conditions (lesser damage is tolerable).

Person who owns house or flat of size lesser than described above, can also apply for the lease.

Right to housing care, according to financial means secured in state budget, disposable housing fund owned by state and housing care plan, is acquired through advantage lists determined by state administration offices in counties or competent body in the City of Zagreb.

Beneficiaries can gain advantage for lease, depending on their housing status, housing conditions, period of residence in area where he applied for housing care, average income, professional qualification, age, number of family members, number of children and statuses acknowledged by special regulations – Croatian Defenders, Croatian Military War Invalids, persons with disability, victims of domestic violence, refugees, exiled persons and returnees.

Persons or families with lesser average income of all family members in three months prior to application for lease gain more points on advantage list, according to this table:

Number of points	Average income
30	Up to 24% of average monthly salary in Republic of Croatia per family member
25	From 25% up to 49% of average monthly salary in Republic of Croatia per family member
15	From 50% up to 74% of average monthly salary in Republic of Croatia per family member

Lease contract is closed, as a rule, for indefinite period. Exceptionally, it can be closed for fixed period.

5.2 Calculation of benefit amount

1. Assistance in settling of housing costs

This right is financed and implemented by the local self-government unit, on monthly basis, up to half of the amount of guaranteed minimum benefit (for whole family or single person). This right can be approved to full amount of the guaranteed minimum benefit if the social welfare centre assess that is the only way to avoid the separation of children from their parents.

2. Stimulated housing construction

Monthly rent amounts:

- 25 kuna per m² for an apartment whose size is equal or less than 60 m²
- 20 kuna per m² for an apartment whose size is bigger than 60 m²
- 15 kuna per m² for a garage
- 10 kuna per m² for a parking spot in garage

Prices of the rent, described above, are more favorable than the prices in normal market conditions. Difference between this more favorable price and the usual price for the same kind of apartment around the same location can be considered as benefit. However, at the moment it is not possible to calculate the amount of benefit because the usual prices of rent in normal market conditions cannot be considered as an official data.

3. City of Zagreb

A. Apartments intended for public owned by the city

Monthly price of the rent amounts:

- 64 eur + 1.6 eur per m² for an apartment whose size is less than 60 m²
- 92 eur + 1.4 eur per m² for an apartment whose size is equal or larger than 60 m²
- 108 eur + 1.2 eur per m² for an apartment whose size is equal or larger than 100 m²

B. Apartments owned by the city

Amount of protected rent depends on an apartment's furniture, apartment's usability, the maintenance cost of common parts and installations of the building and household's capability to pay the price of the rent. For the apartment of size 60 square meters, protected rent would amount approximately above 330 kuna up to 800 kuna (information from the Proposition of the Act of Amendments of Act on Lease of Apartments made by Ministry of Construction and Physical Planning).

Prices of the rent, described above, are more favorable than the prices in normal market conditions. Difference between this more favorable price and the usual price for the same kind of apartment around the same location can be considered as benefit. However, at the moment it is not possible to calculate the amount of benefit because the usual prices of rent in normal market conditions cannot be considered as an official data.

4. Programs of leasing apartments in areas of special state care

Beneficiary closes a lease contract with State Office for Reconstruction and Housing Care and pays protected price of rent (more favorable as explained before) for whole flat area.

Prices of the rent, described above, are more favorable than the prices in normal market conditions. Difference between this more favorable price and the usual price for the same kind of apartment around the same location can be considered as benefit. However, at the moment it is not possible to calculate the amount of benefit because the usual prices of rent in normal market conditions cannot be considered as an official data.

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

1. Assistance in settling of housing costs

Right of assistance in settling of housing costs is provided to a person or a family who is a beneficiary of a guaranteed minimum benefit. So, Income and earnings disregards are the same as of guaranteed minimum benefit, already described in chapter 4.

3. City of Zagreb

B. Apartments owned by the city

Decision of the Lease of Apartments prescribes that all types of receipts of all members of a household in a year prior to the year when person applies for lease are taken in regard, so there are no income disregards.

4. Programs of leasing apartments in areas of special state care – no income disregards

5.2.3 Costs eligible for housing benefits

1. Assistance in settling of housing costs

Housing costs encompass rent, utility costs, electricity, gas, heating, water supply, drainage and other housing costs, in accordance with special regulations.

2. Stimulated housing construction – favorable price of rent

3. City of Zagreb housing programs – favorable price of rent

4. Programs of leasing apartments in areas of special state care – favorable price of rent

5.3 Tax treatment of benefit and interaction with other benefits

All benefits described in this chapter are not taxable.

1. Assistance in settling of housing costs

Assistance in settling of housing and heating costs is acknowledged to the beneficiaries of guaranteed minimum benefit, so it can be combined with same benefits as guaranteed minimum benefit (described in chapter 4).

5.4 Treatment of particular groups

5.4.1 Young persons

3. City of Zagreb housing programs

A. Apartments intended for public owned by the city

Persons up to 35 years of age gain more points for advantage list of potential tenants because of their status.

4. Programs of leasing apartments in areas of special state care

Persons up to 29 years of age gain more points for advantage list of potential tenants because of their status.

5.4.2 *Older workers*

1. Assistance in settling of housing costs

Person who misses up to five years for acquiring right for old age pension has a right for guaranteed minimum benefit and subsequently assistance in settling of housing costs, even if he is not registered as unemployed person at Croatian employment service (if he fulfils other conditions for minimum benefit).

5.4.3 *Others if applicable, including disabled*

2. Stimulated housing construction

Persons with disability, Croatian Homeland war defenders, Croatian military war invalid and family members of Croatian Homeland war defender who is casualty of war, missing or imprisoned gain more points for advantage list of potential tenants because of their status.

3. City of Zagreb housing programs

A. Apartments intended for public owned by the city

Persons with disability, Croatian Homeland war defenders and single parents gain more points for advantage list of potential tenants because of their status.

B. Apartments owned by the city

Homeland war defenders, single parents, persons completely incapable to work, families with juvenile member suffering from mental or physical impairment gain more points for advantage list of potential tenants because of their status.

4. Programs of leasing apartments in areas of special state care

Homeland war defenders, military war invalids, persons with disability, families with more members and more children gain more points for advantage list of potential tenants because of their status.

6. Family benefits

Program name (local name in parentheses if available)			Doplatak za djecu (Child allowance)	Dodatak za dijete bez jednog roditelja (Lone parent supplement to child allowance)
Type of benefit			Targeted	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)		14 (18)	14 (18)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Yes, Income per household member	Yes, Income per household member
Upgrading mechanism of the benefit			No	No
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease: +++/--- above proportional, ++/-- proportional, +/- below proportional, +/- variable, 0: no effect)	Age of child	0	0
		Number of children	++, +++ from third child on	++
	Earnings disregard		Yes	Yes
	Withdrawal rate		Benefit decreases in steps with income brackets, fully withdrawn at HRK 1663 (50% of budgetary basis) per family member	Supplement only given if basic benefit attributed, see basic benefit withdrawal rate
	Assets part of means test?		No	No

6.1 Conditions for receipt**1. Child allowance**

Child allowance is a cash benefit used by the parent or other person designated in the Act on Child Allowance, for support upbringing of a child. It can be acquired by the parent, adoptive parent, guardian, stepfather, stepmother, grandmother, grandfather, as well as the person to whom child has been entrusted on care and upbringing by decision of the authorised social welfare body. Child allowance can be provided also for the child who is an adult, but lost both parents, if he/she is attending regular education.

The right to child allowance is acquired in accordance to the number of children, the amount of the total income of all beneficiary household members, as well as other conditions foreseen by the Act on child allowance. It is acknowledged for all children for whom beneficiary is providing support including children born in marriage, stepchildren, adopted children, grandchildren that are dependents and other children who lost both parents.

Beneficiary can be: Croatian citizen residing in Croatia for at least three years before applying for the benefit, foreign citizen with approved permanent stay in Croatia for at least three years before applying for the benefit. Beneficiary can also be foreign citizen with approved asylum in Croatia or approved subsidiary protection and members of his family, no matter for how long have they been situated in Croatia.

Child allowance is given until child reaches 15th year of age, or until the end of the school year in which child turned 15. This benefit can be provided after mentioned period if the reason a child is attending elementary school after he/she turned 15 is later school enrolment in the first grade or failure to finish a class due to health reasons or longer illness.

Child allowance is given for the child in high school until the end of such schooling, but no longer than the end of the calendar year in which child turns 19 years of age. If the child has health problems, he/she is entitled to child allowance even after turning 19 years of age, until the end of regular education in high school, but no longer than when reaching 21 years of age.

In the case of a child who, after recovering from illness, continues to attend school, but because of a longer absence caused by illness cannot finish school regularly, right for an allowance is extended for a period of time during which a child didn't attend school due to illness, but no longer than when reaching 21 years of age.

For a child with a difficult health condition, which is determined in accordance with specific provisions, child allowance is provided until the end of the calendar year in which child turns 27 years of age (from September of 2015, child that became disabled before it reached 18 years of age or during regular schooling is entitled to allowance in the amount of 25% of basis for a period that is no longer limited to 27 years of age, but receives the benefit as long the disability exists).

Child allowance also belongs to a child who, due to illness doesn't attend school regularly.

This benefit is not acknowledged to a child to whom a permanent accommodation in establishment according to special regulations is secured at the expense of a state budget or budget of a local/regional self-government unit.

It is also not acknowledged for a period of time when child is attending the school abroad, if it's not determined otherwise on the grounds of international contract or regulations of European Union of coordination of social security system.

If a child gets married, right for a child allowance ceases.

The amount of child allowance is determined and depends on the monthly amount of total achieved income of a household per household member, generated in the year previous to one when application for the benefit has been submitted. Although child allowance is given depending on the income generated in previous year, beneficiaries can report any changes, in current year, regarding income or other circumstances that can influence the acknowledgment of this benefit and if according to changed circumstances, benefit can be granted, person will start receiving it from the first day of next month. The

term household refers to community in sense of living together, earning and spending of total earned income of all family members regardless of the type of kinship.

In accordance with the Child Allowance Act, the total household income is the sum of taxable incomes which fall under the regulations on income tax and other receipts which are defined under this Act and achieved by the beneficiary and members of his household. Other receipts include pensions achieved at home and abroad, salaries granted by employer for work abroad, the fees generated due to the child care, compensation for temporary incapacity for work, unemployment compensation, compensation for professional rehabilitation. The term **total income of a household** (which is important for determination of eligibility for child allowance) refers to the sum of taxable incomes and other receipts **deducted** for compulsory contributions from receipts, tax and surtax.

The beneficiary acquires the right to the child allowance under the following conditions: that total income of a household per household member (in division of total income all members of a household are taken in regard) per month generated in the previous year does not exceed 50% of the budget basis and that he/she lives with the child in the same household.

2. Maternity and parental supports

Employed or self-employed parent, in order to receive full amount of benefit, has to acquire at least 12 months of insurance time in mandatory health insurance continuously or 18 months with interruptions in period of 2 years. Unless this condition is met, all salary compensations are reduced to 50% of budget basis.

2a. Maternity leave

Employed or self-employed pregnant women or employed or self-employed mother during pregnancy, childbirth and care of a newborn child is entitled to maternity leave for a period of 28 days before the expected birth up to the child's 6 months of age, which consists of compulsory and optional maternity leave. Employed or self-employed pregnant women or employed or self-employed mother uses the right to compulsory maternity leave for a continuous period of 98 days, of which 28 days before the expected birth and 70 days after childbirth. Exceptionally, employed or self-employed pregnant women can start using maternity leave 45 days before expected birth if a doctor gynecologist makes such decision.

After the expiration of compulsory maternity leave employed or self-employed mother has a right to use optional maternity leave up to the child's 6 months of age.

Employed or self-employed mother can use optional maternity leave as a right on half-time working arrangement, which can be extended up to the child's 9 months of age at the most.

2b. Parental leave

After the maternity leave, given for the first 6 months of child's life, has expired, employed or self-employed parent has a right to parental leave, in duration of 6, 8 or 30 months (it depends on the number of children and the manner of usage of the right: 6 (one parent) or 8 months (both parents) for first and second child, and 30 months for birth of twins, third and every child that follows). Parental leave can be used by both parents (each one for the period of 4 or 15 months). If parental leave is used by only one parent, it is used in the duration of 6 months for first and second child, and 30 months for birth of twins, third and every child that follows.

Employed or self-employed parent can use parental leave as a right on half-time working arrangement in duration twice the time of unused parental leave.

2c. Maternity and parental exclusion from work

Maternity and parental exclusion from work is entitled to: parent acquiring other income (on which compulsory contributions are paid and in that manner he became insured in compulsory health insurance), parent agricultural worker (who is performing activity of agriculture or forestry as sole or main occupation if he is owner, proprietor or leaseholder and in that manner he became insured in compulsory health and pension insurance, but he is not a taxpayer of income or profit tax) and unemployed parent under conditions described in next paragraph.

Unemployed parent who has acquired a status of unemployed person according to employment regulations, from the point of the birth of a child, has a right to maternity and parental exclusion from work and a right for a compensation if he/she:

- Is A Croatian citizen or foreign citizen with approved permanent stay in Republic of Croatia,
- Continuously resided or has approved permanent stay in Republic of Croatia at least 3 years,
- Is insured in compulsory health insurance,
- Is registered as unemployed in Croatian Institute for Employment for at least 9 months continuously or 12 months with interruptions in a period of 2 years before birth of a child, or that he has registered himself in a period of: - 90 days after finishing regular school or university or 30 days after final exam, - 30 days after cancelling the attending of regular school or study, - 30 days after termination of employment, service, self-employment or receiving sick leave benefit, if at the moment of termination he has acquired at least 6 months of continuous pension insurance time. It is considered that unemployed parent has fulfilled condition described under this point if he is not registered as unemployed because of acquiring income according to income tax regulations on which compulsory contributions are being calculated according to special regulations or because of using maternity and parental rights or supports.

Beneficiaries are not entitled to maternity and parental exclusion from work if they have lost their status of insured person in compulsory health insurance and in period of 30 days haven't acquired it again.

Parent can use maternity exclusion from work until child fulfils 6 months of life (mother is obligated to use it for 70 days after birth). After the expiration of this right, unemployed parent can use parental exclusion from work in the duration up to child's age of one year (for first and second child) and up to child's age of three years (for birth of twins, third and every child that follows).

2d. Maternity and parental care for the new born child

Mother outside working system, has a right to cash assistance during maternity and parental care for the new born child if she:

- is a Croatian citizen or foreign citizen with approved permanent stay in Republic of Croatia,
- has a residency or approved permanent stay in Croatia for at least 5 years,
- is insured in compulsory health insurance.

Under maternity care it is understood a period of time from the child birth until 6 months of child's life (mother is obligated to use it for 70 days after birth). Parental care encompasses time period from 6 months of life until child's 1 year of age (for first and second child) or 3 years of age (for twins, third and every child that follows).

Following categories belong to persons outside of working system:

- Pension beneficiary,
- Beneficiary to the right on professional rehabilitation,
- Disability pension beneficiary because of professional incapacity to work,
- Person incapable to work according to social welfare regulations,
- Person supported by other person according to special regulations,

- Person who is attending regular school or university,
- Person who can't achieve status of beneficiary through: employment, self-employment, acquiring other income, status of unemployed person or as agriculture worker, but he is insured in compulsory health insurance.

Exceptionally, mother outside of working system who, during the usage of this right, finishes regular school or university, cancels attending school or university or her obligations in school or university are put in standstill, is still entitled to this right for a period prescribed, if she registered herself as unemployed in Croatian Institute for Employment in a period of 30 days after finishing or cancelling school or studies.

Beneficiaries are not entitled to maternity and parental care for the new born child if they have lost their status of insured person in compulsory health insurance and in period of 30 days haven't acquired it again.

2e. Supports for adoptive parent

Adoptive parent, if health insured under obligatory health insurance provisions, has a right on related temporal leaves or exclusions from work, as well as salary compensations or other forms of cash benefits. The scope of mentioned rights depends on the working status of the adoptive parent, as well as of the age of the adoptive child.

Employed or self-employed adoptive parent can use a right on adoptive parent leave in duration of six months for a child younger than 18 years of age. In a case of adoption of: twins, two or more children, a third child and every child that follows and child with developmental difficulties, adoptive parent leave is prolonged for 60 days. After expiration of this leave, employed or self-employed adoptive parent of a child younger than 8 years of age has same rights as employed or self-employed parent for parental leave. During the adoptive parent leave compensation is the same as for maternity leave.

If an adoptive parent is unemployed, he can acquire a right to adoptive exclusion from work and if he is a person outside of working system he can acquire a right to adoptive care for a child. In both cases, right lasts for 12 months but it can be prolonged for 60 days in a case of adoption of: twins, two or more children, a third child and every child that follows and child with developmental difficulties. Also, in both cases user has a right to a cash benefit in the monthly amount of 50% of the budgetary basis.

Unemployed adoptive parent has a right to adoptive exclusion from work and a right for a compensation if he/she:

- Is A Croatian citizen or foreign citizen with approved permanent stay in Republic of Croatia,
- Continuously resided or has approved permanent stay in Republic of Croatia at least 3 years,
- Is insured in compulsory health insurance,
- Is registered as unemployed in Croatian Institute for Employment for at least 9 months continuously or 12 months with interruptions in a period of 2 years before birth of a child, or that he has registered himself in a period of: - 90 days after finishing regular school or university or 30 days after final exam, - 30 days after cancelling the attending of regular school or study, - 30 days after termination of employment, service, self-employment or receiving sick leave benefit, if at the moment of termination he has acquired at least 6 months of continuous pension insurance time. It is considered that unemployed parent has fulfilled condition described under this point if he is not registered as unemployed because of acquiring income according to income tax regulations on which compulsory contributions are being calculated according to special regulations or because of using maternity and parental rights or supports.

2f. Leave for providing care to a child with grave developmental difficulties

Employed or self-employed parent of a child with grave developmental difficulties (child with serious physical or mental impairments or with serious mental illness), after the expiration of right for maternity leave or during the usage of right for paternal leave or after the expiration of this right, has a right on leave

for providing care to a child up to child's 8 years of age. Parent has a right for a monthly compensation in the amount of 65% of the budget basis, during this period.

Employed or self-employed parent of a child with grave developmental difficulties can use this right as a right on half-time working arrangement and continue to use it after child reaches 8 years of age, as long as there is a need for this right and he receives a compensation in cash in the amount of a salary earned that month for a half time working arrangement deducted for contributions on pension insurance, tax and surtax. Self-employed parent has a right on compensation in cash in the amount of 50% of the basis for calculation of compulsory health insurance contributions.

Other rights for maternity and parental benefits include: right on half-time working arrangement due to intensive care of a child, leave in a case of a child's death, transfer of rights to other parent, day off from work for prenatal examination, break from work for breastfeeding a child, employment standstill up to child's age of 3, leave from work for a pregnant woman, woman who gave birth or woman who's child is in a need of nursing.

3. Cash lump sum assistance for a new born child

Following categories of parents are entitled to cash lump sum assistance for a new born child, if in the time of a childbirth they have a status of Croatian citizen with residency or foreign citizen with approved permanent stay in Republic of Croatia for at least 12 months continuously and if they are insured in compulsory health insurance:

- Employed person, insured in mandatory health and pension insurance on the ground of his work,
- Self-employed person insured in mandatory health and pension insurance on the grounds of self-employment (persons performing: activity of trade and activities equalled to trade, professional activity as independent profession, activity of agriculture and forestry as sole or main profession if they are taxpayers of income or profit tax),
- Person acquiring other income on which compulsory contributions are paid and in that manner he became insured in compulsory health insurance,
- Agricultural worker who is performing activity of agriculture or forestry as sole or main occupation if he is owner, proprietor or leaseholder and in that manner he became insured in compulsory health and pension insurance, but he is not a taxpayer of income or profit tax,
- Unemployed person according to employment regulations,
- Person who is elected or appointed in government bodies or local/regional self-government bodies if he receives salary and is insured in compulsory health and pension insurance on this ground,
- Person who is a board member in a company if he is insured in compulsory health and pension insurance on this ground,
- Person who has closed contract on professional development without conceiving employment and in that manner he became insured in compulsory health and pension insurance,
- Person with status of parent caregiver and in that manner he became insured in compulsory health and pension insurance,
- Person who provides help and care to a Croatian Military War Invalid and in that manner he became insured in compulsory health and pension insurance,

Following categories of parents outside of working system are entitled to cash lump sum assistance for a new born child, if in the time of a childbirth they have a status of Croatian citizen with residency or foreign citizen with approved permanent stay in Republic of Croatia for at least 5 years continuously and if they are insured in compulsory health insurance:

- Pension beneficiary,
- Beneficiary to the right on professional rehabilitation,
- Disability pension beneficiary because of professional incapacity to work,

- Person incapable to work according to social welfare regulations,
- Person supported by other person according to special regulations,
- Person who is attending regular school or university,
- Person who can't achieve status of beneficiary in a manner described in first five points of previous paragraph (employed,...,unemployed), but he is insured in compulsory health insurance

In order that beneficiaries apply for this benefit, child has to be insured in compulsory health insurance, registered in birth record and as a member of beneficiary's household.

Lump sum assistance for a new born child is also entitled to an adoptive parent, if he belongs to one of the categories described in previous two paragraphs, and if assistance for the adopted child hasn't been paid previously to other beneficiary.

4. Benefits related to foster care

Person, in order to become a foster parent has to:

- be a Croatian citizen (exceptionally a foreign citizen if it is in the best interest of beneficiary),
- be adult,
- have a place of residence in the Republic of Croatia,
- have a work capacity,
- have a health capacity,
- finish primary school,
- be capable to provide care that is necessary for beneficiary, also to provide protection, guardianship, nurturing, education and settling other needs, according to expert evaluation of foster care team
- settle prescribed housing and financial conditions (monthly income of foster parent or foster family has to be at least 850 kuna, except for foster parents related to beneficiary).

Age difference between foster parent and beneficiary must be higher than 20 years (if beneficiary is a child) and lower than 50 years (except if foster family is related to beneficiary or it is in beneficiary's best interest).

As a rule, foster family provides care to the same type of beneficiaries, separately for children and separately for adults. Three children (or four adults) at the most can be accommodated in foster family, that is two children (or two adults) with single foster parent (there are some exceptions from this rule).

License for foster care is acknowledged for a period of 5 years with possibility to renew it. Before issuing a license, a foster parent has to complete the training program that will enable him to perform foster care (foster parent related to beneficiary also has to fulfil this condition but it doesn't have to necessary be before issuing a license).

5. Temporary child support

This right is acknowledged to a child, whose parent (the one that doesn't live with the child) is not fulfilling his commitment to support a child with full or partial amount of alimony, continuously for at least three months from the beginning of distraint proceedings for acquiring support. Under partial amount of alimony, it is considered an amount equal or higher than this benefit.

Child is entitled to receive this benefit as long as person who is obliged to support him doesn't start paying alimony at least in an amount of this benefit, but maximum period for receiving temporary support is 3 years. If a child has been receiving this benefit in a period less than 3 years, and a need for temporary child support has been determined again (because parent hasn't paid alimony in an amount of this benefit at least), then the condition that parent hasn't paid alimony for at least three months doesn't have to be fulfilled and child can receive benefit at once.

State will ask reimbursement for the whole amount of temporary child support paid to a child from person obligated to support a child.

Parents are obligated to support their:

- minor child and
- child who is an adult, during period of attending school or university and one year after finishing school if the child is unemployed. If the child is ill, or not capable for work because of mental or physical disability, parents are obliged to support him as long as this condition lasts.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

1. Child allowance

In case that the total income per household member does not exceed 16.33% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 9% of the budget basis per child. In case that the total income per beneficiary's household member ranges between 16.34% and 33.66% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 7.5% of the budget basis per child. In case that the total income per beneficiary's household member ranges between 33.67% and 50% of the budget basis per month, the beneficiary is granted the child allowance in the amount of 6% of the budget basis per child.

Budget basis for 2015 amounts 3326 kuna (same as in 2014).

The amount of the child allowance increases by 25% for the child without both parents, or if both parents are unknown or of unknown residence, or if they are completely and permanently incapable to live and work independently, or if they are deprived of business capability. The amount of the allowance increases by 15% for the child without one parent, whose one parent is unknown or of unknown residence, or completely and permanently incapable to live and work independently, or deprived of business capability.

For child with health impairments, beneficiary is entitled to child allowance up to 25% higher amount.

For the child with more serious or severe disability, the child allowance is determined in the amount of 25% of the budgetary basis, independent of the total monthly income per household member (from September of 2015, child that became disabled before it reached 18 years of age or during regular schooling is entitled to allowance in the amount of 25% of basis for a period that is no longer limited to 27 years of age, but receives the benefit as long the disability exists).

Alongside determined amount of child allowances, beneficiary (who acquired basic benefit) is provided with a supplement in the amount of 500 kuna for the third and fourth child.

2. Maternity and parental supports

Employed or self-employed parent, in order to receive full amounts of benefit, has to acquire at least 12 months of insurance time in mandatory health insurance continuously or 18 months with interruptions in period of 2 years. Unless this condition is met, all salary compensations are reduced to 50% of budget basis.

2a. Maternity leave

During the maternity leave and the usage of the right on half-time working arrangement during optional maternity leave, employed or self-employed mother has a right to monthly salary compensation in the amount of her net salary.

Person insured in mandatory health and pension insurance based on: closed contract on professional development without conceiving employment, status of parent caregiver and person who provides help and care to Croatian Military War Invalid, receive compensation in the amount of 50% of budget basis during maternal leave or half-time working arrangement during optional maternity leave.

2b. Parental leave

During the first 6 months of parental leave (if only one parent is using this right) or 8 months (if this leave is used by both parents), employed or self-employed parent has a right to monthly salary compensation in the amount of his/her net salary, but in the case of the parental leave it cannot be higher than 80% of the budget basis, or less than 50% of the budget basis in both cases. So, usually for the first six months of parental leave, parent receives 80% of the budget basis at the most and for the remaining time of parental leave (24 months more for birth of twins, third and every child that follows), 50% of the budget basis.

If parental leave is used as a right on half-time working arrangement, employed or self-employed parent has a right to monthly salary compensation which amounts to 50% of the budget basis.

Person insured in mandatory health and pension insurance based on: closed contract on professional development without conceiving employment, status of parent caregiver and person who provides help and care to Croatian Military War Invalid, receive compensation in the amount of 50% of budget basis during parental leave or half-time working arrangement during parental leave.

2c. Maternity and parental exclusion from work

Beneficiary has a right to a compensation in the monthly amount of 50% of the budgetary basis during the maternity and parental exclusion from work.

2d. Maternity and parental care for a new born child

Beneficiary has a right to a cash benefit in the monthly amount of 50% of the budgetary basis during maternity and parental care for a new born child.

2e. Supports for adoptive parents

Employed or self-employed adoptive parent during the adoptive parent leave receives compensation in the amount of his net salary. After the expiration of adoptive parent leave, employed adoptive parent can use parental leave during which he receives same compensation as employed parent (2b).

Unemployed adoptive parent or that outside working system receives benefit in the amount of 50% of budget basis during adoptive exclusion from work or adoptive care for a child.

2f. Leave for providing care to a child with grave developmental difficulties

Employed or self-employed parent has a right for a monthly compensation in the amount of 65% of the budget basis, during the leave (this leave starts after the period of maternity leave where person receives a benefit in the amount of net salary).

If employed parent uses leave for providing care to a child with grave developmental difficulties as a half-time working arrangement, he receives a compensation in cash in the amount of a salary earned that month for a half time working arrangement deduced for contributions on pension insurance, tax and surtax. Self-employed parent for the same arrangement has a right on compensation in cash in the amount of 50% of the basis for calculation of compulsory health insurance contributions.

Budget basis for year 2015 has been set at 3 326 kuna.

3. Cash lump sum assistance for a new born child

This financial assistance is provided in the amount of 70% of the budget basis.

4. Benefits related to foster care

Amount of benefit depends on the number and category of beneficiaries of foster care and it is calculated as percentage of the basis, which amounts 500 kuna.

4a. Foster parent benefit

Amount of benefit is equal to:

80% of the basis for every child and younger adult who is beneficiary of foster care.

Foster parent receives additional 25% of the basis if a child or younger adult suffers from physical, mental, intellectual or sensory disability or has behavioral problems. Foster parent receives additional 60% of the basis if a child or younger adult ails from AIDS or central hypoventilation syndrome.

1b) 60% of the basis for every adult beneficiary of foster care.

Foster parent receives additional 15% of the basis if adult beneficiary of foster care has difficulties with mobility.

Foster parent receives additional 20% of the basis if adult beneficiary of foster care is immobile person or mobile person suffering from mental or severe intellectual disability.

Foster parent receives additional 50% of the basis if adult beneficiary is HIV positive.

If the foster parent provides care for just one beneficiary (child or adult) then the basic benefit increases for 20% of the basis.

4b. Compensation for accommodation in foster family

Amount of compensation depends on the age and needs of social welfare beneficiary accommodated in foster family:

2a) For accommodation of juvenile who can't achieve proper physical or psychological development and education in his own family, compensation is equal to 360% of the basis for pre-school child and 400% of the basis for child who is attending school

2b) For accommodation of person with disability or other person obstructed in physical or psychological development, compensation is equal to 400% of the basis for pre-school child and 440% of the basis for child who is attending school

2c) For accommodation of a child ailing from AIDS or *central hypoventilation syndrome*, compensation is equal to 1250% of the basis

2d) For accommodation of adult or elder person compensation is equal to 360% of the basis for mobile person, 400% of the basis for person with difficulties with mobility and 480% for immobile person

If social welfare beneficiary, because of his health condition, disability, character features and other conditions, has specific increased needs that require larger extent and quality of services that have to be provided by foster family, then benefit described under points 2a, 2b, 2c and 2d can be raised for 20% of amount.

If juvenile accommodated in foster family uses public transportation on his way to school, then this compensation is increased for the travel expenses.

5. Temporary child support

Amount of benefit is equal to 50% of the prescribed minimum amount of alimony:

- For a child younger than 7 years of age – 470 kuna (50% of 940 kuna (17% of average net salary)),
- For a child older than 7 but younger than 13 years of age – 553 kuna (50% of 1106 kuna (20% of average net salary)),
- For a child older than 13 but younger than 18 years of age – 608 kuna (50% of 1217 kuna (22% of average net salary)).

But, it cannot be higher than the amount of alimony determined by distraint document.

If a parent who is obliged to support a child pays alimony in an amount lower than this benefit, than benefit is equal to difference between the full amount of benefit and an amount that parent pays.

6.2.1.1 Irregular additional payments

Cash lump-sum assistance for a new born child is also granted by local self-government units, independently of the state benefits. Amount of this assistance is prescribed separately by every local unit.

6.2.2 Income and earnings disregards

1. Child allowance

In accordance with the Child Allowance Act, the total household income is the sum of:

- a) taxable incomes which fall under the regulations on income tax and
- b) other receipts which are defined under this Act and achieved by the beneficiary and members of his household. Other receipts include pensions achieved at home and abroad, salaries granted by employer for work abroad, the fees generated due to the child care, compensation for temporary incapacity for work, unemployment compensation, compensation for professional rehabilitation.

The term **total income per household member** (which is important for the definition of income for purpose of determining eligibility for child allowance) refers to the sum of taxable incomes and other

receipts which are defined under this Act deducted for compulsory contributions from receipts, tax and surtax.

Therefore, other social benefits, that do not come under term of other receipts (point b) according to the Child Allowance Act, are of no influence on granting the child allowance.

2. *Maternity and parental supports* are non-means tested.
3. *Cash lump sum assistance for a new born child* is non-means tested.
4. *Benefits related to foster care* are non-means tested.
5. *Temporary child support* is non-means tested.

6.3 Tax treatment of benefit and interaction with other benefits

All benefits described in this chapter are not taxable.

1. Child allowance

Child allowance can be combined with full amount of: guaranteed minimum benefit, assistance for housing and heating costs, personal disability benefit, allowance for help and care and other social supports.

Child Allowance Act doesn't prescribe that child allowance can't be received along with other benefits, but there are some social supports included in income than can influence granting the child allowance: benefits received on the grounds of child care (maternity and parental supports, compensation for foster parent, and alike), all unemployment benefits, sick leave benefit, benefits received during professional rehabilitation, and all types of pensions.

2. Maternity and parental supports

Maternity and parental cash benefits cannot be combined with: unemployment benefit and guaranteed minimum benefit (exception being, if maternity and parental support is in the amount lower than minimum benefit)

Maternity leave, parental leave cannot be combined with allowance for help and care. But, if a parent uses right to half-time working arrangement during: maternity or parental leave, leave due to intensive care for a child or leave for providing care to a child with grave developmental difficulties, then he can acquire allowance for help and care in reduced amount.

Maternal and Parental Benefits Act prescribes that person with the status of parent caregiver during maternal and parental leave receives 50% of the budget basis. So, this compensation can be combined with compensation for parent caregiver if one parent uses both benefits. According to Social Welfare Act, If one parent uses maternity, parental or adoptive leave, then the status of parent caregiver for the same child can't be acknowledged to other parent.

Interactions with other benefits depends on conditions for acquiring those benefits in a sense of eventual income regards. For example, maternal and paternity cash benefits are included in income on which depends granting the child allowance.

3. Cash lump sum assistance for a new born child

Cash lump sum assistance for a new born child can be combined with full amount of guaranteed minimum benefit and assistance for settling housing and heating costs and other social supports.

4. Benefits related to foster care

4a. Foster parent benefit - it is included in income that influence granting guaranteed minimum benefit, assistance for housing and heating costs and child allowance (in a case of fostering a child).

4b. Compensation for accommodation in foster family – it can be combined with full amount of guaranteed minimum benefit, assistance for housing and heating costs. But, it is included in income that influence granting child allowance (in a case of fostering a child).

5. Temporary child support

It can be combined with full amount of guaranteed minimum benefit, assistance for housing and heating costs and other social supports.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable, including disabled

1. Child allowance

Children with disability receive higher amount of allowance, regardless of household income and in a longer period.

Children of Croatian Homeland war Defenders, who are casualties of war, imprisoned or missing receive child allowance in a highest prescribed amount.

2. Maternity and parental benefits

Parent of a child with grave developmental difficulties can use longer leave and receive benefit up to child's 8 years of age. Amount of benefit for this leave is higher than for usual parental leave.

4. Benefits related to foster care

These benefits are paid in a higher amount if a person accommodated in a foster family suffers from some type of disability or illness, as described under calculation of gross benefit.

7. Childcare for pre-school children

According to the Preschool Education Act, preschool education includes programs of education, health care, nutrition and social welfare that are provided in kindergartens. Kindergartens are public institutions where the pre-school education is held as a public service.

Kindergartens may be established by: Republic of Croatia, local and regional self-government units, religious organizations, other legal and natural persons.

Pre-school education is organized and conducted for children from the age of six months up to school age.

Kindergartens conduct:

- Regular programs of care, upbringing, education, health care, nutrition and social welfare of children and early and preschool age, which are adapted to the developmental needs of children and their abilities and skills,
- Programs for children with disabilities of early and preschool age,
- Programs for gifted children of early and preschool age,
- Programs in the language and alphabet of national minorities,
- Pre-school programs,
- Programs of early foreign language learning and other programs of artistic, cultural, religious and sport contents.

Preschool programme (it shouldn't be mixed with the term - preschool education) is compulsory for all children in a period of one year before attending primary school. For children who attend kindergarten, preschool programme is already integrated in regular programme of preschool educations of kindergarten, other children have to attend preschool program in nearest kindergarten, or primary school closest to their place of residence, that conduct preschool program for children who don't attend the kindergarten. Preschool programme is state co-financed, and it is free of charge for parents.

In school year 2014/2015, there were 1413 kindergartens and 177 other legal entities that implement preschool education programmes in the Republic of Croatia. There were 12 kindergartens founded by state, 1 059 by local self-government units, 289 private kindergartens and 53 of those founded by religion communities¹.

The total number of children in all kindergartens and other legal entities that implement preschool education amounted to 133 764. In kindergartens founded by state there were 1 096 children (0.8%), in those founded by local self-government units 111 861 (83.62%), in private kindergartens 17 463 (13.05%), and in those founded by religion communities 3 344 (2.49%)².

Children involvement according to the programs:

- In regular daily programs there are 118 300 children included
- In pre-school programs there are 13 004 children (this data is for 2013/2014 school year)
- In the shorter programs there are 2 460 children included³

¹ CBS First release 8.1.8.: *Kindergartens and other legal entities implementing preschool education programmes, beginning of 2014/2015 school year*. Published 7th May of 2015. http://www.dzs.hr/Hrv_Eng/publication/2015/08-01-08_01_2015.htm

² Ibid

³ Ibid

In City of Zagreb preschool institutions provide following programs for preschool children:

- Regular programs of education, care, upbringing, health care, nutrition and social welfare of children of preschool age, adjusted with work time of parents and needs of a child,
- Mandatory preschool program during one year before child attends primary school,
- Special programs for children with developmental difficulties, children belonging to national minorities, alternative programs, programs for studying foreign language from an early age, programs including health care, sport, dancing, musical education, arts, theatre, informatics, ecology, religion and other programs adjusted to special interests and needs of children,

Other programs of preschool education adjusted to children's needs and parent's requests

7.1 Out-of-pocket childcare fees paid by parents

In accordance with the Article 48 of the Preschool Education Act, the founder of the kindergarten is obliged to provide funds for the establishment and operation of the kindergarten. Founder provides these funds by selling services on the market, or from other regulated sources.

Kindergartens founded by the units of local and regional self-government, are charging their services from the parents-customers, in accordance with the standards established by the representative body of that unit, except for the pre-school program (for children in a period of one year before attending primary school) that is free of charge for parents.

Therefore, most kindergartens depend on the units of local or regional self-government, whether, and to what extent, it will co-finance the kindergarten costs, and thereby reduce the cost to parents. Likewise, it depends on units of local or regional self-government whether the co-financing (and its amount) will be based on the previous means test, as well as whether there will be a category of users who are excluded from paying.

Article 50 of the Preschool Education Act stipulates that a part of funds needed for the execution of public needs in the field of preschool education is secured in the state budget.

Above paragraph refer to the following programs:

- For children with development difficulties and gifted children,
- For early and pre-school age children of Croatian citizens abroad,
- For children of early and pre-school age belonging to national minorities,
- Pre-school program (as it is mandatory, it is state co-financed).

In City of Zagreb, contribution of parents in a price of preschool program is determined according to type of program, duration of program and financial status of a family.

Contributions of parents in a price of regular kindergartens programs depend on an average monthly income per member of a household, achieved in previous year:

INCOME CENSUS (CITY OF ZAGREB)	MONTHLY AMOUNT OF CONTRIBUTIONS OF PARENTS IN A PRICE OF REGULAR PROGRAMME	
	10 HOUR	HALF-DAY
1. average monthly income per member of a household (achieved in previous year) over 4,501,00 kn	600,00 kn	390,00 kn

2. average monthly income per member of a household (achieved in previous year) over 3.501,00 up to 4.500,00 kn	450,00 kn	292,50 kn
3. average monthly income per member of a household (achieved in previous year) over 2.501,00 up to 3.500,00 kn	300,00 kn	195,00 kn
4. average monthly income per member of a household (achieved in previous year) up to 2.500,00 kn	150,00 kn	97,50 kn

According to the regulation - Program of Public Needs in Preschool Upbringing and Education, the economic price of regular kindergarten program, anticipated on the ground of average costs of program, was set for 2015 in the amount of 1 900 kuna for 10 hour program and 1 300 kuna for half day program.

Additional reliefs in paying the costs of regular programs in kindergartens and other legal entities founded by the city of Zagreb are acknowledged for a:

- Child of a parent with 100% or 90% disability - entirely relieved of paying the charge of program,
- Child of a parent with 80% to 60% disability – pay 50% of contribution described in table above,
- Child of a parent with 50% disability or less – pay 75% of contribution described in table above,
- In a case that two children of the same family attend the regular program parents pay the whole contribution for one child and 75% of the contribution for other child,
- For families with three or more children that are attending regular program, parents are entirely relieved of paying for the third and every other child,
- For a child of a single parent, charge is 75% of the price of contribution,
- For a child whose parents receive constant cash assistance within the social care system, parents pay 20% of the price.

Parents can use just one relief that is the most favorable for them.

7.2 *Child-care benefits*

7.2.1 *Conditions for receipt*

Financing of kindergartens from state and other entities is provided in the form of services (the user does not get the money but the part of a service the user does not have to settle). Also, it is provided on the local level and each local unit prescribes conditions related to admission in kindergartens separately. For instance, in City of Zagreb, contribution of parents in service is proportional to income per member of a household.

Preschool program is compulsory for all children who will attend primary school in a year or less and it is completely financed by state and founder of the kindergarten.

City of Zagreb has adopted a regulation about gaining advantage for admission of children in legal entities that provide preschool education programmes, founded by the City of Zagreb. This advantage is acknowledged to a: child with developmental difficulties, child living under very difficult social and health conditions, child whose parents are Homeland War invalids, child whose both parents are employed, child living with just one employed parent, child of a single parent who is employed, child living with a foster family, child who lost both parents, child without proper parental care, child of a family with three or more children under age, child one year or less from attending the primary school, child of a parents who receive child allowance.

Main condition is that child's place of residence is in Zagreb, but children of other towns or municipalities can also inscribe in kindergartens and other institutions that provide preschool education in Zagreb in case of free room. Parents of children that don't have place of residence in Zagreb have to pay full price of preschool education programs, if it's not possible that local self-government units from place of their residence cover part of the costs, or for foreign citizens to be equaled to citizens of Zagreb according to principle of mutuality.

7.2.2 *Calculation of benefit amount*

Financing of kindergartens from state and other entities is provided in the form of services so benefit amount would be a part of the price of service that users don't have to settle. Also, it is provided on the local level and each local unit prescribes conditions for financing kindergartens separately.

7.2.2.2 Income and earnings disregards

It is prescribed separately by each local self-government unit.

In order to calculate the amount of parent's contribution in the price of preschool education program in the **City of Zagreb**, income taken in regard is: salary, compensation of salary and other income of every employed or self-employed member of the household, pension, compensation for sick leave, maternity and parental supports, unemployment benefit, temporary service contract and other taxable income according to Income Tax Act.

Therefore, all other social benefits are not regarded as an income of influence for benefit grant.

Income is reduced for: tax/surtax, instalments for housing loan (if the loan is taken for solving housing status of a family), amount that family pays for freely agreed rent in order to solve the housing status.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

This benefit is not a cash benefit so it is not taxable.

City of Zagreb

Social supports that increase observed income and so influence the benefit grant or reduce the amount of benefit are: compensation for sick leave, maternity and parental supports, unemployment benefit and pensions. All other benefits can be freely combined with this benefit.

7.2.4 *Treatment of particular groups, including disabled*

Preschool Education Act prescribes that certain advantage for admission in kindergartens owned by the State or local/regional self-government have children: of parents that are Homeland war casualties or invalids, belonging to a family with three or more children, of employed parents, with developmental difficulties, of single parents or belonging to a foster family, that will attend primary school in one year or less, of parents that receive child allowance.

City of Zagreb

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Advantage for admission in kindergarten is acknowledged to a: child with developmental difficulties, child living under very difficult social and health conditions, child whose parents are Homeland War invalids, child whose both parents are employed, child living with just one employed parent, child of a single parent who is employed, child living with a foster family, child who lost both parents, child without proper parental care, child of a family with three or more children under age, child one year or less from attending the primary school, child of a parents who receive child allowance.

8. Employment-conditional benefits

1. Professional rehabilitation for disabled workers

Generally, professional rehabilitation is initiated and financed by various institutions for insured persons, employers for their employees, or persons that applied for this service to Professional Rehabilitation Centre, an institution that is authorized to perform activities included in rehabilitation.

Croatian Institution for Pension Insurance finances professional rehabilitation for disabled workers, insured in compulsory pension insurance. Therefore, Pension Insurance Act prescribes conditions and benefits for workers suffering from disability because of injury at work place or occupational disease and other insured persons.

According to Pension Insurance Act, professional rehabilitation is consisted of activities of gaining and applying knowledge, skills and routines in practice in order to enable disabled worker for work, along with preserving his remaining work capacity. It includes: a) retraining – enabling/educating disabled worker for jobs different than those he performed before and b) additional training – additional activities for enabling disabled worker to perform jobs according to his remaining work capacity.

Employee with disability who has acquired a right to professional rehabilitation, can attend training for a job for which is required the same level of education as for his previous job, and if that is not possible for a lower level of education, or exceptionally for a higher level if such training can be useful regarding expertise and age of employee and if there is a possibility of employment after the completion of professional rehabilitation.

2. Temporary incapability to work (sick leave) for workers that suffered injury at a place of work or occupational disease

Beneficiary, worker insured in compulsory health insurance for protection at work, has a right for salary compensation during temporary incapability to work (sick leave) because of injury in a place of work or occupational disease. Rights acquired during this kind of sick leave are different than for usual cases of sick leave. This benefit is accounted and paid by the legal entity or natural person – employer, while the Croatian Institute for Health Insurance is obliged to reimburse it within 45 days after receiving the application for the reimbursement (Institute bears all financial burden).

Injury in a place of work is an injury caused by direct and brief mechanical, physical or chemical action, and an injury caused by sudden change of body position, sudden burden for a body or other changes of physiological state of human body, if it is cause-effected with performing work or activities in which a person is insured with mandatory health insurance. Injuries obtained in a manner described during home-work trip are also included, so is illness caused by accident or force majeure during the work hours, or performing activities in which a person is insured with mandatory health insurance.

Injury in a place of work is not: an injury or illness caused by unconscientious or irresponsible behavior in a workplace or during home-work trip tasks (getting into fight, working under influence of alcohol or drugs and alike); activities not related with performing work (break from work not used in period that is prescribed, physical activities not related to work and alike); injury caused by other person because of private matters that are not connected with work; seizure of chronic illness; congenital or obtained predisposition of health condition that could lead to illness.

Occupational disease is defined as a disease caused by longer, direct influence of the work process and work conditions in certain occupations. For instance – hearing impairment caused by working in environment where higher level of noise is present.

Along with salary compensation, person that suffered injury at place of work or occupational disease also acquires a right to compensation of travel expenses when using health care within compulsory health insurance related to injury at a place of work or occupational disease.

3. Physical impairment benefit

Right to this benefit is acknowledged to an employee whose physical impairment of at least 30% results as a consequence of an injury in a place of work or occupational disease. Physical impairment is defined as a loss, serious damage or disability of an organ or body part which makes normal activity of organism more difficult and requires bigger effort to maintain basic life needs.

4. Employment stimulations for employers of persons with disability and self-employed persons with disability

Institute for Expert Evaluation, Professional Rehabilitation and Employment of People with Disabilities finances stimulations for persons with disability.

Employer of a person with disability and self-employed person with disability can acquire a right of:

a) Subsidy of salary for person with disability

This right is acquired if, by assessment and opinion of professional rehabilitation center, it is determined that, despite adjustment of work space and providing adequate services of professional support, disabled worker can't achieve same results in work performance as healthy worker in the same workplace.

Basis for calculation of subsidy of salary is minimum salary determined by special regulation (for the year of 2015, it amounted 3029.55 kuna). Amount of benefit is determined by professional rehabilitation center, on the grounds of it's assessment and opinion. Maximum amount of benefit is equal to 70% of the basis for one disabled worker, depending also if person with disability works full or part time.

b) Compensation of costs of education for disabled person.

Institute approves co-financing costs of such education in duration up to six months, exceptionally 12 months. Beneficiaries acquire a right for compensation in the amount from 50% to 70% of costs of education. Costs include school fee and travelling costs. Employer of a person with disability has a right to use this benefit once in 24 months for one disabled worker, that is self-employed person with disability for himself. Education includes programs of enabling and improving in a sense of gaining know-how, skills and capabilities needed for work, or for getting acquainted with and using new technologies and modern work organization.

c) Compensation of costs for adjustment of work space for a person, in a sense of removing architectural barriers.

This benefit is acknowledged if adjustment of work space is needed because of the type and level of worker's disability. Requirement for adjustment of work space is determined by assessment and opinion of professional rehabilitation center according to adjustment plan of work space and working conditions.

This cost is compensated in the amount of real expenses of adjustment, but at the most in the amount of 40 basis. Basis for calculation of compensation of costs for adjustment of work space is minimum salary determined by special regulation (for the year of 2015, it amounted 3029.55 kuna)

d) Compensation of costs for adjustment in sense of improving working conditions.

This benefit is acknowledged if due to type and level of disability, person requires adaptation of work space with technical equipment. Requirement for adjustment to improve working conditions is determined by assessment and opinion of professional rehabilitation center according to adjustment plan of work space and working conditions.

This cost is compensated in the amount of real expenses of adjustment, but at the most in the amount of 40 basis. Basis for calculation of compensation of costs for adjustment of work space is minimum salary determined by special regulation (for the year of 2015, it amounted 3029.55 kuna)

e) Subsidy of interests up to 70% of interest rate at the most, according to loan contract of a purpose-specific loans or financial leasing for buying machines, equipment or tools needed for employment of a person with disability. Co-financing lasts till: repayment of a loan, under condition that disabled person works with machine, equipment or tool for which loan was taken; or termination of employment of a person with disability. Compensation of interests is paid in the amount proportional to number of persons with disability working with such machines or equipment.

f) Financing of expenses for professional support

This benefit is acknowledged if such requirement is determined by assessment and opinion of professional rehabilitation center according to the plan of individual support in which duration, form, type and amount of working hours of professional support is determined.

This benefit is paid on monthly basis to professional rehabilitation center, according to period of working hours spend for this purpose.

8.1 Conditions for receipt

1. Professional rehabilitation for disabled workers

Main condition for compensation of salary for employee with disability is compulsory pension insurance. Employed, self-employed persons and some other categories acquire a right for professional rehabilitation, but that doesn't apply for all categories of insured persons.

Second condition is that insured person's work capacity was reduced but he is still left with remaining work capacity. Reduced work capacity ensues when, because of permanent changes in health condition that cannot be put away with medical treatment, work capacity of worker is reduced for more than a half comparing with healthy worker of same education level. Remaining work capacity exists when a worker with reduced work capacity, through professional rehabilitation, can be enabled to perform other jobs full time.

Employee with disability, because of injury outside of his place of work or illness, can acquire a right to professional rehabilitation under the condition that his pension insurance time lasts in a period enough for disability pension (if pension insurance time equals at least one third of person's working age). Working age counts from 20 years of age to the day that disability occurred, except for persons who graduated in universities and schools of higher level of education, for whom working age counts from 23 or 26 years of age depending from the level of education.

Employee with disability, because of injury in his place of work or occupational disease acquires a right to professional rehabilitation regardless of his pensionable service. Benefit is acknowledged on the grounds of expert opinion by the authorized expert and medical documentation.

After the completion of professional rehabilitation, beneficiary can still receive this compensation if he is registered in unemployment office in a period of 30 days.

Beneficiary loses this right if he: (except if he was delayed by reasons against his will): doesn't start with professional rehabilitation in a period of one month after he was instructed to do so; or during professional rehabilitation, stops conducting it without justified reason or doesn't perform activities connected to rehabilitation

2. Temporary incapability to work (sick leave) for workers that suffered injury in a place of work or occupational disease

Main condition for salary compensation because of temporary incapability to work is compulsory health insurance for protection at work, to which all persons employed with legal entities and natural persons are compulsory insured.

Right for compensation can be achieved after Croatian Institute for Health Insurance finishes procedure of determining and acknowledging an injury at a workplace or occupational disease. List of professional diseases, jobs where person can get ill from such disease and conditions that illness can be considered as professional disease are prescribed by special regulation, Injury at a work place was described at the beginning of this chapter.

Insured person doesn't have a right to this benefit if he: has consciously caused temporary incapability to work; doesn't notify his physician that he is ill, 3 days from occurrence of illness or from cessation of reason that stopped him to do so; is deliberately stopping improvement of his health condition or enabling for work; works during the temporary incapability; doesn't answer a call for medical check-up; doesn't stick to instructions for medical treatment; departs from place of residence without his physician's approval; abuses this right in some other manner.

Compensation for travel expenses are acknowledged under condition that person in order to receive proper health care is instructed to a medical institution under contract, private medical worker under contract or supplier of orthopaedic and other apparatus under contract outside her place of residence.

3. Physical impairment benefit

Main condition for receipt of physical impairment benefit is mandatory pension insurance and that physical impairment of at least 30% results as a consequence of an injury in a place of work or occupational disease. Benefit is acknowledged on the grounds of expert opinion by the authorized expert and medical documentation. List of injuries that correspond the level of impairment are prescribed by special regulation.

If an employee acquires a right to this benefit and some other benefit for the same impairment according to some other regulation, he can exercise just one of these rights in his/her own choice.

4. Employment stimulations for employers of persons with disability and self-employed persons with disability

Described before for each benefit

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

1. Professional rehabilitation for disabled workers

1a Employee with disability who has acquired a right to professional rehabilitation, because of injury outside of his place of work or illness, also acquires a right for compensation of salary in the amount:

a) of disability pension for partial loss of work capacity, from the day the reduced work capability has occurred to beginning of professional rehabilitation, and from the completion of rehabilitation to the moment of employment in a suitable work position, but not longer than 12 months after the rehabilitation, and

b) during the rehabilitation employee with disability has a right for compensation of salary in the amount of disability pension for complete loss of work capacity (higher amount).

1b Employee with disability who has acquired a right to professional rehabilitation, because of injury in his place of work or occupational disease, also acquires a right for compensation of salary in the amount of disability pension for complete loss of work capacity for 40 years of pensionable service, from the day the reduced work capability has occurred to the moment of employment in a suitable work position after the completion of professional rehabilitation, but not longer than 24 months after the rehabilitation.

Therefore, calculation of this benefit is connected with calculation of disability pension. Since the amount of disability pension depends on the salary that person was earning and pension insurance time, amount of benefit is different for every person and it can't be calculated without knowing these personal characteristics.

If professional rehabilitation is carried out outside the place of residence of disabled employee and frequent transport cannot be secured, then the accommodation and nutrition service or compensation of costs for accommodation and nutrition is secured for person.

2. Temporary incapability to work (sick leave) for workers that suffered injury in a place of work or occupational disease

Beneficiary can use this right in the amount of 100% of the basis for 18 months, and after that he receives 50% of the amount of the last paid compensation as long as there is medical indication for temporary incapability to work. But, during the whole period of sick leave, person can receive benefit till the moment when physician determines that he is capable for work or competent body for expert evaluation determines disability.

Basis for calculation of this compensation is an average net salary paid to the person in a period of 6 months before the circumstance for acquiring the compensation occurred. Compensation amounts 100% of the basis.

Compensation for travel expenses covers the cheapest public transportation through the closest possible distance.

3. Physical impairment benefit

Croatian Institute for Pension Insurance determines basis for calculation of this benefit, and from the 1. July of 2015 it amounted 1 216.67 kuna. Amount of benefit is determined regarding the level of impairment.

Level of physical impairment	Amount of benefit (% of the basis)
100 %	40 %
90 %	36 %
80 %	32 %
70 %	28 %
60 %	24 %
50 %	20 %
40 %	16 %
30 %	12 %

4. Employment stimulations for employers of persons with disability and self-employed persons with disability

Described before for each benefit at the beginning of this chapter

8.3 Tax treatment of benefit and interaction with other benefits

All benefits presented in this chapter are not subjected to taxation.

1. Compensation of salary during professional rehabilitation is included in income that influence granting the child allowance, guaranteed minimum benefit (and consequently housing and heating assistance) or it can influence the amount of those benefits in a way described in chapters 4 and 6.

Person cannot combine this benefit and: unemployment benefit, sick leave benefit (including the one related to injury at work or occupational disease also described in this chapter).

This benefit can be combined with cash assistance for maternity, parental or adoptive care for a new born child (it shouldn't be mixed with salary compensation during maternity and parental leave).

2. Compensation of salary paid during temporary incapability to work (sick leave) for workers that suffered injury in a place of work or occupational disease cannot be combined with unemployment benefit, cash assistance during professional development without conceiving employment, cash allowance during vocational training, compensation of salary during professional rehabilitation and guaranteed minimum benefit (and consequently housing and heating assistance). This benefit is included in income census for child allowance and personal disability benefit so it can influence approval of those rights or amounts received.

3. Physical impairment benefit

If an employee acquires a right to this benefit and some other benefit for the same impairment according to other regulation, he can exercise just one of these rights in his/her own choice. But beneficiary can receive full amount of minimum guaranteed benefit and assistance for settling of housing and heating costs described in chapter 4 along with this benefit if he fulfills other conditions for minimum benefit. Amount of this benefit is also not included in receipts that reduces minimum benefit.

4. Employment stimulations for employers of persons with disability and self-employed persons with disability

Since these benefits are intended for employed and self-employed persons, they cannot be combined with unemployment benefits, guaranteed minimum benefit, assistance for settling of housing and heating costs.

Regarding other benefits, it depends on the income census and other conditions prescribed for receiving those benefits.

8.4 Benefit duration

1. Professional rehabilitation for disabled workers

1a Employee with disability who has acquired a right to professional rehabilitation, because of injury outside of his place of work or illness, also acquires a right for compensation of salary, from the day the reduced work capacity with remaining work capacity has occurred the moment of employment in a suitable work position after completion of rehabilitation, but not longer than 12 months after the rehabilitation. Beneficiary acquires the right for this compensation if he is registered in unemployment office in a period of 30 days after the completion of professional rehabilitation.

1b Employee with disability who has acquired a right to professional rehabilitation, because of injury in his place of work or occupational disease, also acquires a right for compensation of salary from the day when reduced work capacity with remaining work capacity has occurred to the moment of employment in a suitable work position after the completion of professional rehabilitation, but not longer than 24 months after the rehabilitation. Beneficiary acquires the right for this compensation if he is registered in unemployment office in a period of 30 days after the completion of professional rehabilitation.

2. Temporary incapability to work (sick leave)

Physician can determine duration of temporary incapability to work depending on the type of illness. Person who is temporary incapable to work due to injury in a place of work or occupational disease, acquires a right for salary compensation until it is established that the person became capable for work or till disability has been determined. If temporary incapability to work lasts 12 months continuously for same diagnosis, physician is obliged to instruct person to assessment of work capability and disability done by competent institution for expert evaluation.

Beneficiary whose employment was terminated, receives the benefit till he's capable for work again or till disability has been determined (unlike beneficiaries for usual cases of sick leave who stop receiving benefit 30 days after termination of employment).

3. Physical impairment benefit

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Duration for receiving physical impairment benefit is not limited.

4. Employment stimulations for persons with disability

Described at the beginning of the chapter for benefits for which duration is specified in the Regulation that prescribes employment stimulations.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable, including disabled*

9. Lone-parent benefits

There isn't a particular lone-parent benefit, but rather some advantages to acquire other benefits or higher amount of benefit.

Chapter 4 - For a family who is a beneficiary of a right for a guaranteed minimum benefit, lone-parent acquires an amount of 100% of the basis (for calculation of minimum benefit) and child acquires 40% of the basis (From September of 2015, with Act of Amendments of Social Welfare Act, amount of guaranteed minimum benefit for a child of a lone-parent has been raised to 55% of the basis).

Chapter 4 - Child of a lone-parent can receive benefit for settling accommodation costs in boarding school if an average monthly income per member of a family in previous three months before applying for benefit, does not exceed the amount of two basis (for rights other than guaranteed minimum benefit).

Chapter 6 - Lone-parent who has acquired a right to child allowance under conditions described in chapter 6 receives an allowance that is 15% higher than basic child allowance.

Chapter 7 - Lone parent can acquire advantage for admission of his/hers child in kindergarten, and for instance in the City of Zagreb he/she will pay 75% of the price of participation.

Chapter 5 - Within program of stimulated housing construction, lone-parent can acquire certain advantage for acquiring an apartment in lease for favourable price. Also in the City of Zagreb, lone-parent is entitled to certain advantage for acquiring an apartment in lease for favourable price.

Conditions for acquiring benefits, amounts, duration and other, are described in chapters 4,5,6 and 7.

9.1 Conditions for receipt

Conditions for acquiring benefit for settling accommodation costs and guaranteed minimum benefit are described in chapter 4.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.2 *Income and earnings disregards*

9.3 ***Tax treatment of benefit and interaction with other benefits***

9.4 ***Benefit duration***

9.5 ***Treatment of particular group***

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable, including disabled*

10. Tax system

10.1 Income tax

Majority of social security benefits in Croatia are not taxed (either being left outside the definition of income, or falling into this definition, but treated as non-taxable). Exemptions are compensation of salary during sick leave paid by the employer for the first 43 days of sick leave and pensions above certain amount. They are treated as a financial receipt from dependent labour and form a part of income tax base.

Generally, income subjected to taxation is income deriving from:

- Employment,
- Self-employment
- Property and property rights,
- Investment,
- Insurance,

Other income (according to definitions described in Income Tax Act)

Income derived from employment (tax base) is equal to difference between receipts and expenditures of tax payer.

Receipts subjected to taxation based on employment are:

- salary that employer pays to his employees for momentary work, work done in previous periods based on previous work relation and work in future period based on momentary work relation,
- compensations, supports, awards and other that employer pays or gives to his workers above certain prescribed amount,
- salary paid to employee by some other person instead of employer,
- insurance premiums that employers pay for their employees on the basis of life insurance; additional, supplementary and private health insurance; voluntary pension insurance above prescribed amount and insurance of their property,
- all other receipts that employer pays or gives to his employees for performed work based on a job contract or other regulation that arranges work relations,
- entrepreneur's salary that is treated as expenditure for calculating corporate income tax,
- receipts (salaries) of natural persons working in resident companies in Republic of Croatia on behest from foreign employer,
- receipts (salaries) of members of representative and executive bodies of government and local/regional self-government units, paid to them for working in those bodies or units,
- compensation of salary for persons providing help and care to Croatian military war invalids of I degree active in Homeland war, according to special regulation,
- pensions acquired on the basis of previous payments of contributions for pension insurance,
- pensions paid by insurance companies on the basis of previous payments of employers in order to buy up a part of pension, if those payments were not subjected to taxation,
- pension rents paid by insurance companies on the basis of previous payments of employers, if those payments were not subjected to taxation,
- pensions paid to entrepreneurs who were self-employed or the ones who were paying corporate income tax and to other persons on the basis of previous payments of contributions for compulsory insurance if it was regarded as tax deduction or expenditure,
- pensions of residents acquired abroad

receipts in kind are: usage of buildings and means of transport, favorable interests for loans, acquiring or optional buying of shares under favorable condition and other privileges that employers vest to their employees.

Expenditures of tax payer that are deducted from receipts in order to calculate tax base for income from employment are contributions for compulsory insurances paid from receipt (pension insurance contributions for I and II pillar – 20% (15% + 5%) of the gross salary).

10.1.1 *Tax allowances and credits*

10.1.1.1 Standard allowances

Income tax is calculated and paid, as a rule, once a year (annual tax application). This amount is deducted by the tax amount paid in advance (when it comes to receipt from dependent labour generally once a month).

Allowances that reduce the aggregated taxable base for a resident taxpayer on an annual level include:

1. General allowance: 31 200 kuna (monthly 2 600 kuna) in 2015 for all resident taxpayers. With Act on Amendments of Income Tax Act (Official Gazette Nos. 143/14) that entered into force from 1 of January of 2015, general allowance was increased from 2 200 kuna to 2 600 kuna monthly, that is for pension beneficiaries from 3 400 kuna to 3 800 kuna.

- additional general allowance:
 - pension beneficiaries for: between 31 200 kuna (monthly 2 600 kuna) and 45 600 kuna (monthly 3 800 kuna)
 - residents that reside on the area of local self-government units categorized as aided regions belonging to I. group development level according to special regulations and that reside in the Town of Vukovar use a right on additional allowance in the amount of 42 000 kuna (monthly 3500 kuna),
 - residents that reside on the area of local self-government units categorized as aided regions belonging to II. group development level according to special regulations use a right on additional allowance in the amount of 36 000 kuna (monthly 3000 kuna),

2. Family allowances are granted to residents who support their family members, or in a case of disability of taxpayer, dependent family members or children (general allowance increases for this amount):

- If a taxpayer has a dependent member of an immediate family, or former spouse for which alimony is paid, than additional allowance is given in the annual amount of 15 600 kuna (factor 0,5*general allowance)
- An additional allowance of 15 600 kuna (factor 0,5) is given for the first dependent child. For each subsequent child this amount is raised - by 21 840 kuna (factor 0,7) for the second child; by 31 200 (factor 1) kuna for the third child; by 43 680 (factor 1,4) for the fourth child; by 59 280 (factor 1.9) for the fifth child). For sixth and each subsequent dependent child, factor of basic personal allowance is increased progressively, for the sixth child previous factor increases for 0.6 (it is equal to 2,5 (0,6+1,9) - 78 000 kuna), for the seventh child previous factor increases for 0.7 (it is equal to 3,2 (2,5+0,7) - 99 840 kuna), eighth child - 4.0 (3,2 + 0,8 - 124 800 kuna), ninth child - 4.9 (4.0 + 0.9 - 152 880 kuna), tenth child - 5.9 (4.9 + 1.0 - 184 080 kuna), etc, compared the factor of the basic personal allowance for the previous child (factor 1.9 for the 5th child).

- If a taxpayer, or any dependent immediate family member or a child is disabled, additional allowance is given in the amount of 9 360 kuna (factor 0,3)
- In case that to a taxpayer, or any dependent immediate family member, or a child, a disability of 100% has been determined and/or has a right, due to determined disability, to allowance for help and care, the amount of allowance is raised by 31 200 (factor 1,0) kuna. But in this case, taxpayer cannot use allowance under previous point along with this one.

All monthly family allowances are calculated by multiplying the right factor and monthly basic allowance. Family allowance is added to the general allowance. When calculating family allowances for pension beneficiaries, factors are multiplied with the basic allowance of 2600 kuna, although basic allowance for pension beneficiaries can amount 3 800 kuna at the most.

Residents that reside on the area of local self-government units categorized as aided regions and in the Town of Vukovar, use a right on basic allowance in a higher amount described under “General allowance” and family allowances in the amount that is calculated by multiplying the factors described under “Family allowances” and this higher basic allowance, if the dependent family members also reside in such region.

Additional general allowance and family allowance for aided regions and Town of Vukovar are acknowledged in annual computation of tax, and tax amount paid in advance for this categories of tax payers is calculated according to general and family allowances in usual amount.

As mentioned before regarding dependent labour, monthly tax amount is paid in advance with basic tax deduction (allowance), and deductions on the grounds of dependent family members, children and disability taken in consideration, but in monthly amount.

In a case when more persons (usually parents) support one or more members of immediate family, then tax deductions are assorted evenly, if parents don't agree otherwise. So, it's possible that one parent uses entire amount of allowance, or for example in a case of a family with two children one parent can use it for the first child, other for the second child.

Dependent immediate family members (taxpayer's spouse or life partner, taxpayer's parent and the parents of his spouse or life partner, ancestors and descendants in the direct line, stepmothers and stepfathers to whom adult stepchild provides maintenance, former spouses or life partners for whom taxpayer pays alimony and adult persons to whom a taxpayer has been appointed as guardian) and dependent children (also stepchildren, adopted children, children under guardianship) are natural persons whose annual taxable receipts, receipts which are not subject to taxation and other receipts that are not considered as income, do not exceed five amounts of basic tax deduction (13 000 kuna). Exceptionally, when determining the right to personal tax deduction for dependent immediate family members and dependent children, following receipts under special regulations are not taken into consideration: social assistance benefits, child allowance, supports for a new-born child, receipts for equipment of a new-born child and survivors pensions due to death of a parent.

Other tax reliefs applicable to income from employment

Tax deduction (allowance) for residents can also be increased for the amounts paid for compulsory health insurance, if taxpayer is not insured in compulsory health insurance on some other grounds (for instance, contributions for health insurance that some categories of insured persons pay for themselves). This tax relief is acknowledged in annual tax computation up to prescribed amount.

Tax deduction can also be increased for donations (cash or in kind) made in the country in fields of culture, education, science, humanitarian work, sport, religion, to associations and other persons performing these activities. This tax relief is acknowledged in annual tax computation up to prescribed amount and in some specific cases in a higher amount.

10.1.1.2 Standard tax credits

10.1.2 *Income tax schedule (central government income tax)*

With Act on Amendments of Income Tax Act (Official Gazette Nos. 143/14) that entered into force from 1 of January of 2015, second tax bracket taxed with rate of 25% was changed and now this rate is applied to the amount of tax base ranging from 2 200 kuna to 13 200 kuna (before the year of 2015, it was from 2 200 kuna to 8 800 kuna).

Tax schedule for 2015 is:

Tax base (monthly)	Rate
up to 2 200 kuna	12%
2 200 to 13 200 kuna	25%
above 13 200 kuna	40%

Taxation of salaries and pensions

Tax base is equal to income subjected to taxation deducted for personal tax deduction. Income subjected to taxation is the amount of gross salary or gross pension deducted for compulsory contributions from salary or pension. Gross salary is deducted for pension insurance contributions of 20% and gross pension, if it is higher than prescribed amount (5 510 kuna for pensions paid in 2015), is deducted for health insurance contribution of 3%. Amount of basic personal tax deduction in the year of 2015 was 2 600 kuna for salaries, (which can be increased under conditions described in paragraph – Family allowances) and from 2 600 up to 3 800 kuna for pensions.

10.1.3 *State and local income taxes*

Towns and municipalities can prescribe surtax to all taxpayers of income tax on their area applying these rates:

- Municipality – up to 10%,
- Towns with population not higher than 30 000 – up to 12%,
- Towns with population higher than 30 000 – up to 15% and
- City of Zagreb up to 18%

These rates are applied to the amount of income tax. Institute of Public Finance has published an article that includes calculation of weighted average rate of surtax in the Republic of Croatia in the amount of 11.2%⁴ for the year of 2010 taking into account the population of towns/municipalities and local surtax.

Taxpayers of surtax are all taxpayers of income tax that reside in town or municipality that has prescribed surtax.

10.2 *Treatment of family income*

10.3 *Social security contributions and payroll taxes*

According to Contributions Act, articles 21 and 22, social security contributions are calculated for receipts from employment that are subjected to taxation by income tax.

10.3.1 *Contributions payable by employees and benefit recipients*

Contributions from salary (gross) - pension insurance contributions – rate of 20.0% (15% for I. pillar and 5% for II. pillar)

Contributions from pension (gross) – additional health insurance contribution – rate of 3% (just for pensions in the gross amount higher than average net salary from January to August in previous year)

10.3.2 *Contributions payable by employers*

Health insurance contribution – rate of 15.0% from 1st April 2014 (13.0% prior)

Contribution for health protection at work (for the case of injury at place of work and professional disease) – rate of 0.5%

Employment contribution (insurance for period of unemployment) – rate of 1.7%

10.3.3 *Payroll taxes*

10.4 *Treatment of particular group*

10.4.1 *Young persons*

Survivors pensions received by children after death of their parents are not subjected to taxation, because these receipts are not treated as income.

10.4.2 *Older workers*

10.4.3 *Others if applicable*

Croatian Homeland War invalids acquire relieves applicable to income from employment and pension according to the level of disability.

⁴ <http://www.ijf.hr/OP/2.pdf>

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Family members of Croatian Homeland War Defenders are relieved of paying the income tax for survivors pension and compensation in the amount of survivor pension determined according to Act on the Rights of Croatian Defenders of the Homeland War and Members of Their Families.

Persons with disability acquire a right to higher tax allowance.

Residents that reside on the area of local self-government units categorized as aided regions and in the Town of Vukovar use a right on basic allowance in a higher amount

11. Part-time work

11.1 *Special benefit rules for part-time work*

1. Using optional maternity leave and parental leave as a right on half-time working arrangement and rights of parents of children with grave developmental difficulties who can use part-time working arrangement have already been described in chapter 6.

2. Right on part-time working arrangement due to intensive care of a child

After the conclusion of parental leave or using half-time working arrangement during parental leave, one of the employed parents acquires a right on half-time working arrangement due to intensive care of a child till he reaches age of 3, if a child is in a need of intensive care because of his health situation or development. In the period of exercising this right, employed or self-employed parent receives cash benefit in the amount of 50% of the budget basis. Budget basis for year 2015 has been set at 3.326 kuna.

3. If a parent uses right to half-time working arrangement during: maternity or parental leave, leave due to intensive care for a child or leave for providing care to a child with grave developmental difficulties, then he can acquire allowance for help and care (described in chapter 4) in reduced amount. During maternity and parental leave, that is not used as half work arrangement, parent cannot receive allowance for help and care.

4. Person who has fulfilled conditions for acquiring old-age pension, can continue to work part-time or get a job with part-time working arrangement and receive old-age pension during this period.

5. Within the scope of health care rights, person insured in compulsory health insurance, during temporary incapability to work (sick leave) for providing care for an ill member of family (child or spouse) can use this right as a half-time working arrangement. If the child is younger than 7 years of age this right is acknowledged in a period of 60 days at most, for child between 7 and 18 years right is given for 40 days and for child older than 18 or a spouse (for this category right is acknowledged in a case of difficult health condition because of illness or injury) 20 days at most. Duration of a right can be prolonged for a child younger than 18 in a need of longer care. Insured person can acquire this right under condition: that the other parent is not unemployed (except if the other parent, that is unemployed is incapable to provide care for a child); and if insured person lives alone with a child that he doesn't use this right at the same time for the other child and he is not acknowledged a status of parent caregiver for the child in a need of care.

Basis for the calculation of benefit is person's average net salary in previous six months. Amount of benefit depends on child's age. If a child is younger than 3 years of age, compensation amounts 100% of the basis (but it cannot be higher than 128% of the budget basis - 4257 kuna), and if the child is older than 3 years, benefit amounts 70% of the basis.

11.2 *Special tax and social security contribution rules for part-time work*

There are no special tax or social security contribution rules for part-time work.

12. Policy developments

12.1. Policy changes

12.1 Changes introduced : 2 July 2014 – 1 July 2015

1. Personal disability benefit

Scholarships for pupils and students were added as income not included in census that influences benefit grant.

2. Supports for adoptive parent

From January of 2015, employed or self-employed adoptive parent, after expiration of adoptive leave, has a right on parental leave for twins, third and every child that follows in same duration as employed or self-employed parent - 30 months.

3. Cash assistance for persons who closed contract on professional development without conceiving employment

From January of 2015, amount of assistance was raised from 1 600 kuna to 2 400 kuna, by Government's Decision.

4. Temporary child support (alimony)

In September of 2014, Act on Temporary Support has entered into force. Before this Act was brought, conditions for receiving temporary support, amounts and other, was arranged by the Family Act. But, due to the fact that the regulations about temporary support in Family Act were ambiguous, a new act arranging this field was brought. Before new act entered into force, it was prescribed that temporary support was acknowledged, if a parent hasn't been paying alimony longer than 6 months. With new act, this period was shortened to 3 months. Also, if a child has stopped receiving temporary support because parent started to pay the alimony, can achieve this right again ad once if parent stops paying again. If parent would pay alimony in an amount lower than this temporary support, it would be considered, in a sense of granting this benefit, as if he didn't pay at all.

5. Tax deduction and tax brackets

With Act on Amendments of Income Tax Act (Official Gazette Nos. 143/14) that entered into force from 1 of January of 2015, general allowance was increased from 2 200 kuna to 2 600 kuna monthly, that is for pension beneficiaries from 3 400 kuna to 3 800 kuna. Also, with the same Act, second tax bracket was changed and now the rate of 25% is applied to the amount of tax base ranging from 2 200 kuna to 13 200 kuna (before the year of 2015, it was from 2 200 kuna to 8 800 kuna).

12.2 Changes announced since 1 July 2015

With Act of Amendments of Social Welfare Act, article 94a that entered into force from 24 September of 2015, a new benefit has been introduced in Social Welfare system:

1. Benefit for users with difficulties in settling energy products expenditures (unofficial translation)

Social welfare centre determines the status of beneficiary for this benefit who then acquires a right for co-financing of costs for electricity that burdens the household. Benefit is acknowledged to a:

- Beneficiary of guaranteed minimum benefit,
- Member of a household, who is beneficiary of guaranteed minimum benefit,
- Beneficiary of personal disability benefit,
- Person living in a household with beneficiary of personal disability benefit.

Beneficiary of personal disability benefit, who is also a beneficiary of guaranteed minimum benefit can acquire benefit for endangered buyer of energy products just on the grounds of one of this conditions.

If in a same household lives a beneficiary of guaranteed minimum benefit and beneficiary of personal disability benefit, a household can acquire this benefit just on the grounds of one of this conditions.

Social welfare centre determines the amount of the benefit separately for each person, but it can amount 200 kuna at the most per one month. This is not a cash benefit, and beneficiary receives a voucher of certain value in cash that he can use to pay electricity bills.

2. Guaranteed minimum benefit

With Act on Amendments of Social Welfare Act, (Official gazette, Nos. 99/15), amount of guaranteed minimum benefit has been raised for a single person who is incapable for work to 115% of the basis (if a single person is capable for work amount remains 100% of the basis) and for a child of a lone-parent to 55% of the basis.

With same amendments, following regulations were removed from Act - person doesn't have a right to minimum benefit:

- if in a time period of three years before submitting an application for the benefit has sold or donated property, waived his/her right to inherit property or ceded his share of inheritance, if from the amount achieved by that sale, or the amount that corresponds the level of tax base for paying taxes for donated property, or the amount of his share of inheritance which he/she waived or ceded could assure allowance in the amount of guaranteed minimum benefit even after applying for benefit;
- homeless person temporary situated in a shelter

From September of 2015, benefit duration is no longer limited to 2 years.

- ### **3. Personal disability benefit – child less than one year old is no longer included in categories that cannot apply for benefit.**

4. Allowance for help and care - child less than one year old is no longer included in categories that cannot apply for benefit.
5. Service of psychosocial support – if it is provided at service provider, it can last twelve hours per week maximum. For a child with developmental difficulties or person with disability, it can be acknowledged for eighteen hours per week maximum or five hours per week in beneficiary's family home.
6. Child allowance

With Act of Amendments of Child Allowance Act that entered into force in September of 2015, it was prescribed that child who became disabled before it reached 18 years of age or during regular schooling is entitled to allowance in the amount of 25% of budgetary basis for a period that is no longer limited to 27 years of age (as before this amendments), but receives the benefit as long the disability exists.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.